

June 14, 2026 09:00 PM GMT

Investor Presentation | Asia Pacific

China Equity Strategy: Forging New Horizons

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Morgan Stanley

Jun 15, 2026

INVESTOR PRESENTATION

China Equity Strategy
Forging New Horizons

MORGAN STANLEY RESEARCH
Asia/Pacific

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MSCI China has underperformed Emerging Market YTD mainly due to AI memory super-cycle;
We stay Equal-weight on China



Source: MSCI, FactSet, DataStream, Morgan Stanley Research. Data as of June 8, 2026. Past performance is no guarantee of future results.

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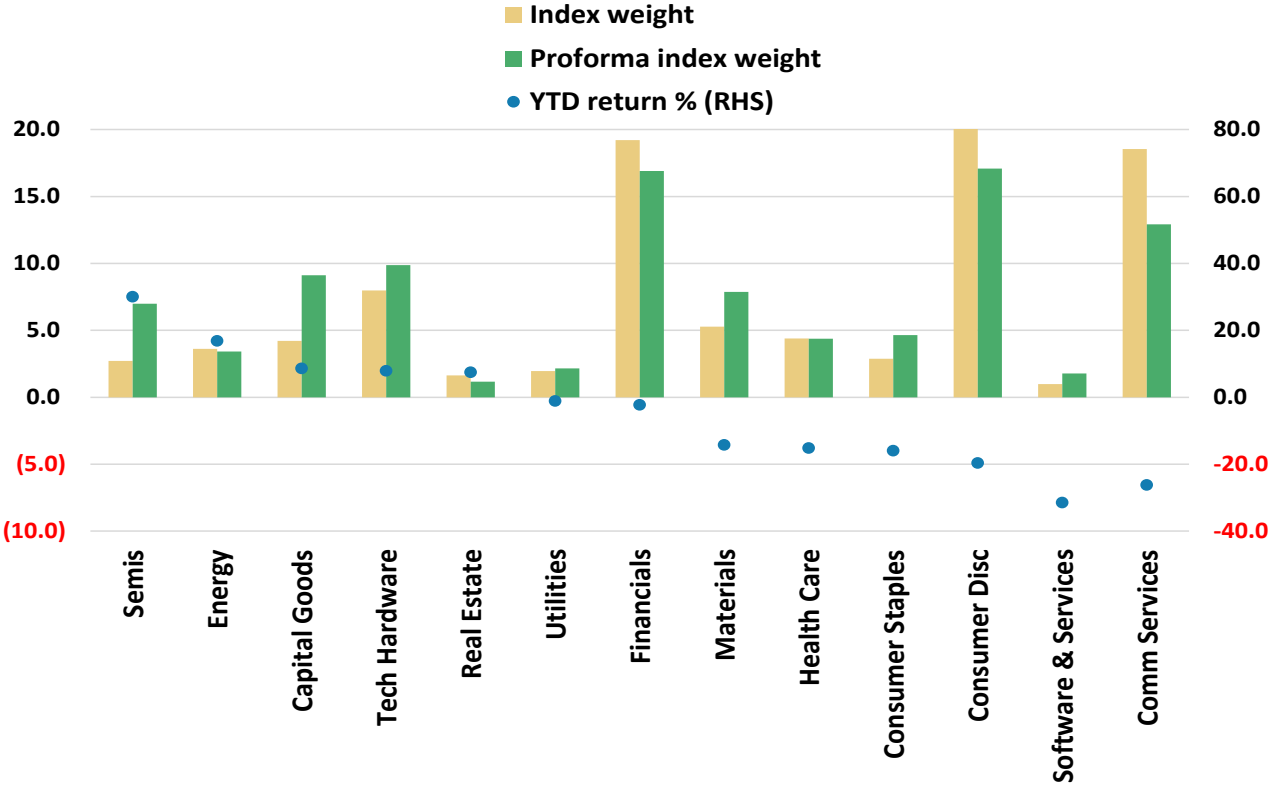
Index performance and Sharpe Ratio (MSCI China, CSI 300, MSCI EM, S&P 500) – CSI 300 demonstrating superior risk-adjusted returns in 2025 and 2026 YTD

	Total return in USD			2025		2026 YTD		
	24 Sep 2024 - Now	2025	2026 YTD	Standard deviation (Annualized)	Sharpe ratio (Annualized)	Annualized return	Standard deviation (Annualized)	Sharpe ratio (Annualized)
MSCI China	28%	27%	-10%	24%	0.95	-23%	21%	-1.34
CSI 300	53%	23%	5%	15%	1.44	12%	15%	0.68
Hang Seng	34%	28%	-4%	23%	1.00	-11%	20%	-0.76
MSCI EM	49%	31%	18%	15%	1.70	50%	25%	1.83
S&P 500	30%	16%	8%	18%	0.66	21%	14%	1.25

Source: Datastream, Bloomberg, Morgan Stanley Research.
Note: Data as of June 9, 2026. Past performance is no guarantee of future results. Results do not include transaction costs/fees. 10-year Chinese government bond yield is used in CSI300 related calculations, compared to US treasury 10-year yield for other cases.

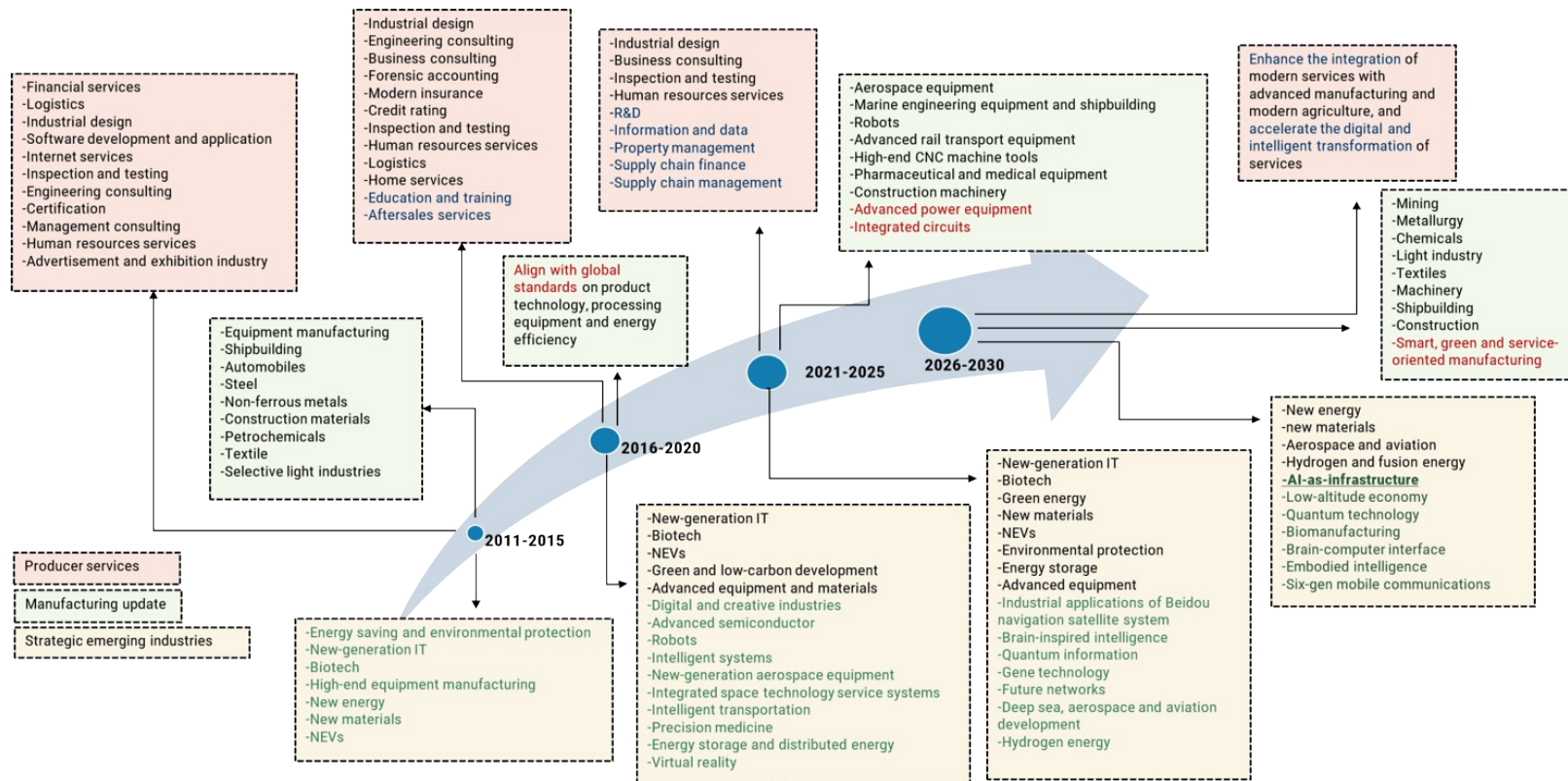
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Underneath the lackluster performance – A more thematic growth focused and better performing market masked by the index composition



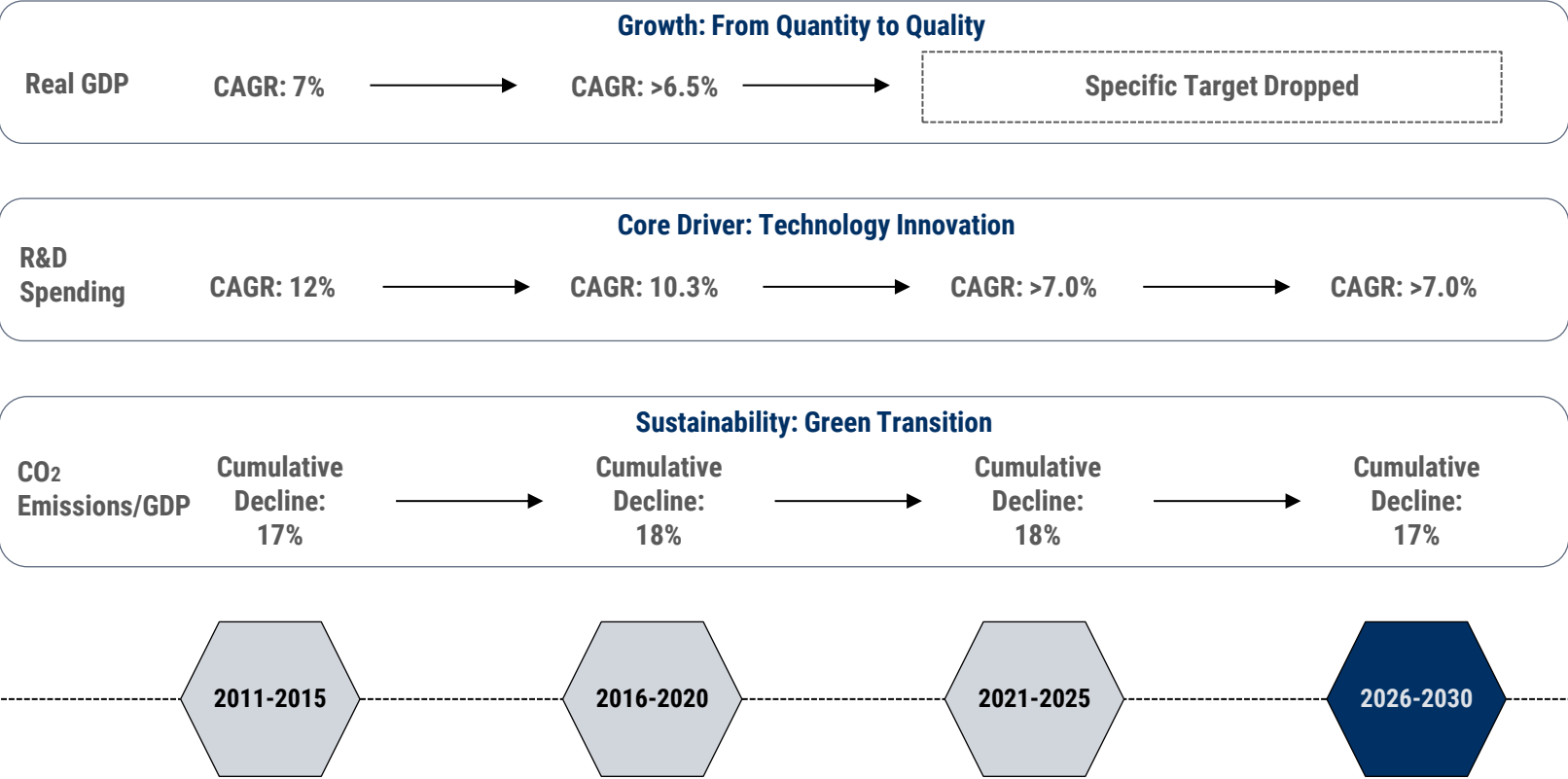
Source: FactSet, Morgan Stanley Research. Data as of June 8, 2026.

China has implemented a systemic framework on industrial upgrade and innovation



Source: Government website, Morgan Stanley Research.

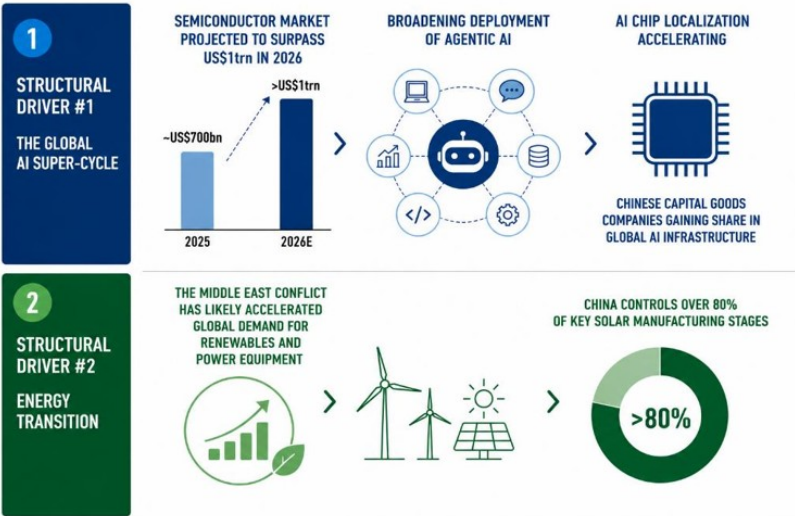
Evolution of recent Five-Year Plans – A clear focus on quality growth and tech innovation



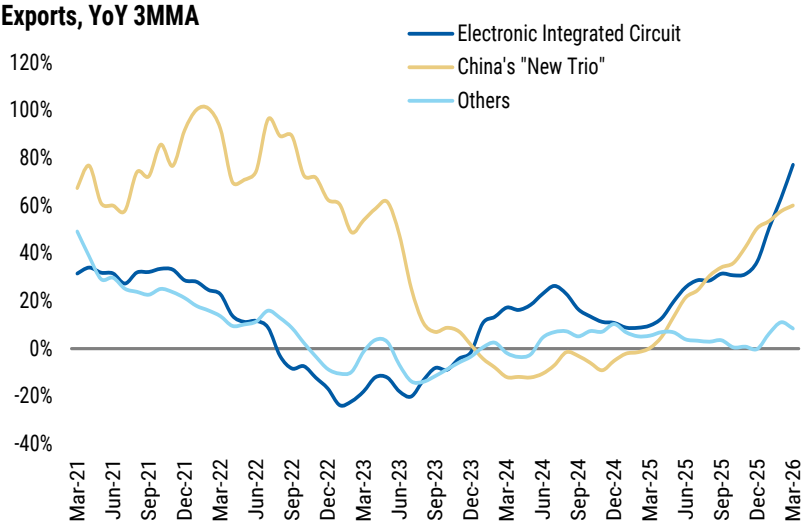
Source: NPC, Morgan Stanley Research.

Exports continue to anchor cyclical growth, positioning China’s electronics and renewable supply chains as direct beneficiaries

Two structural drivers for export growth



China’s deep electronics and renewable supply chains will be direct beneficiary

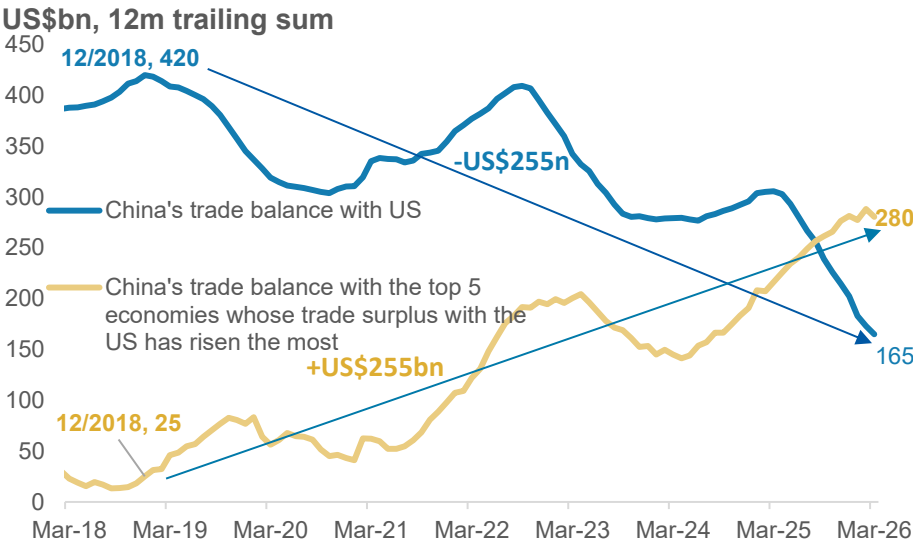
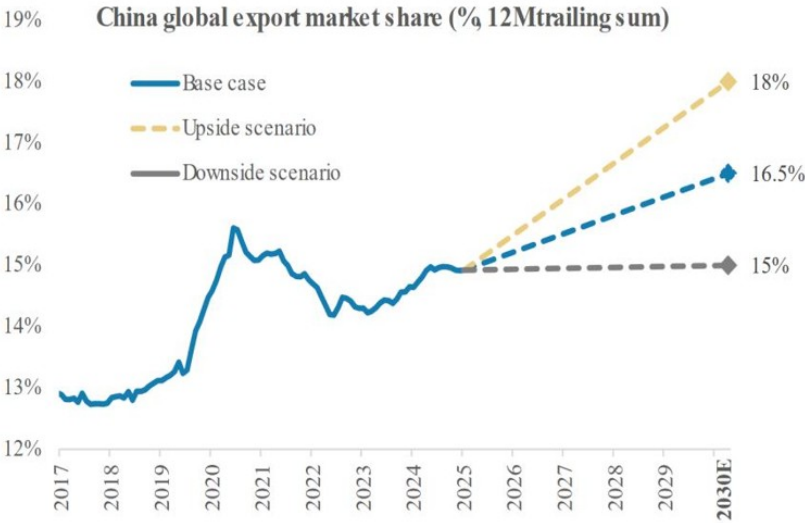


Source: CEIC, Morgan Stanley Research estimates. “New Trio” includes EVs, lithium batteries, and solar cells.

China has been widening its lead in global export since 2022; We expect further acceleration given China’s best positioning in global AI/Energy Capex super cycle supply chain

China likely to contribute 16.5% of global export market share by 2030...

...while continuing to play a critical role in global supply chain despite diversification



Source: Haver, Morgan Stanley Research estimates.

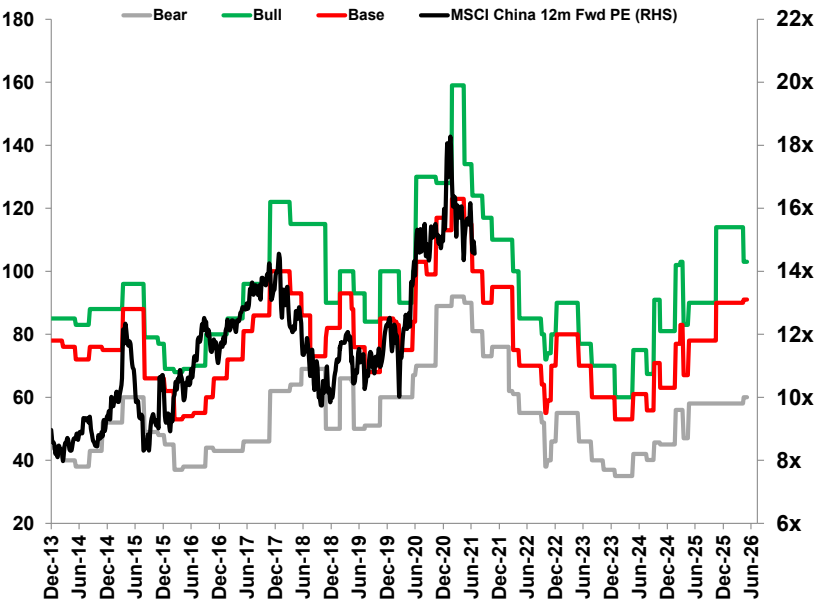
Asia/EM/China 2Q 2027 index targets – Wide range across bull/base/bear cases

	Index	Current Price	MS Target Price (Jun-2027)	MS Top-Down EPS YoY %			Consensus EPS Forecast YoY %			MS Target Fwd P/E Jun - 2027	Consensus 12m Fwd P/E Current
				Dec-26	Dec-27	Dec-28	Dec-26	Dec-27	Dec-28		
Base Case	TOPIX	3,852	4,300 12%	216 9%	235 9%	263 12%	251 11%	276 10%	276 0%	17.5x	16.4x
	MSCI EM	1,655	1,800 9%	125 40%	136 9%	141 4%	134 56%	160 20%	178 11%	13.0x	11.5x
	MSCI APxJ	854	900 5%	59 40%	64 8%	65 2%	63 57%	76 20%	84 11%	14.0x	12.5x
Base Case	Hang Seng	24,657	28,400 15%	2,254 7%	2,408 7%	2,557 6%	2,304 12%	2,538 10%	2,794 10%	11.4x	10.3x
	HSCEI	8,341	9,900 19%	939 5%	993 6%	1050 6%	923 5%	983 7%	1,054 7%	9.7x	9.3x
	MSCI China	75	91 21%	6.6 7%	7.2 10%	7.7 7%	6.6 14%	7.6 15%	8.6 14%	12.2x	10.8x
	CSI300	4,714	5,400 15%	315 10%	347 10%	378 9%	357 20%	408 14%	458 12%	14.8x	13.9x
Bull Case	TOPIX	3,852	4,900 27%	224 13%	255 14%	290 14%	251 11%	276 10%	276 0%	18.0x	16.4x
	MSCI EM	1,655	2,100 27%	135 50%	147 9%	154 5%	134 56%	160 20%	178 11%	14.0x	11.5x
	MSCI APxJ	854	1,080 27%	65 53%	72 10%	73 2%	63 57%	76 20%	84 11%	15.0x	12.5x
Bull Case	Hang Seng	24,657	32,400 31%	2,299 8%	2,504 9%	2,675 7%	2,304 12%	2,538 10%	2,794 10%	12.5x	10.3x
	HSCEI	8,341	11,000 32%	958 6%	1,013 6%	1,079 7%	923 5%	983 7%	1,054 7%	10.6x	9.3x
	MSCI China	75	103 38%	6.7 8%	7.4 11%	8.0 8%	6.6 14%	7.6 15%	8.6 14%	13.3x	10.8x
	CSI300	4,714	6,090 29%	321 11%	361 12%	401 11%	357 20%	408 14%	458 12%	16.0x	13.9x
Bear Case	TOPIX	3,852	2,600 -33%	202 2%	209 4%	222 6%	251 11%	276 10%	276 0%	12.0x	16.4x
	MSCI EM	1,655	1,100 -34%	103 16%	101 -2%	99 -2%	134 56%	160 20%	178 11%	11.0x	11.5x
	MSCI APxJ	854	590 -31%	50 21%	51 2%	51 0%	63 57%	76 20%	84 11%	11.5x	12.9x
Bear Case	Hang Seng	24,657	18,000 -27%	2,141 4%	2,239 5%	2,378 6%	2,304 12%	2,538 10%	2,794 10%	7.8x	10.3x
	HSCEI	8,341	6,200 -26%	892 3%	923 4%	945 2%	923 5%	983 7%	1054 7%	6.7x	9.3x
	MSCI China	75	60 -20%	6.1 3%	6.4 5%	6.7 5%	6.6 14%	7.6 15%	8.6 14%	9.1x	10.8x
	CSI300	4,714	3,550 -25%	304 7%	319 5%	333 4%	357 20%	408 14%	458 12%	10.9x	13.9x

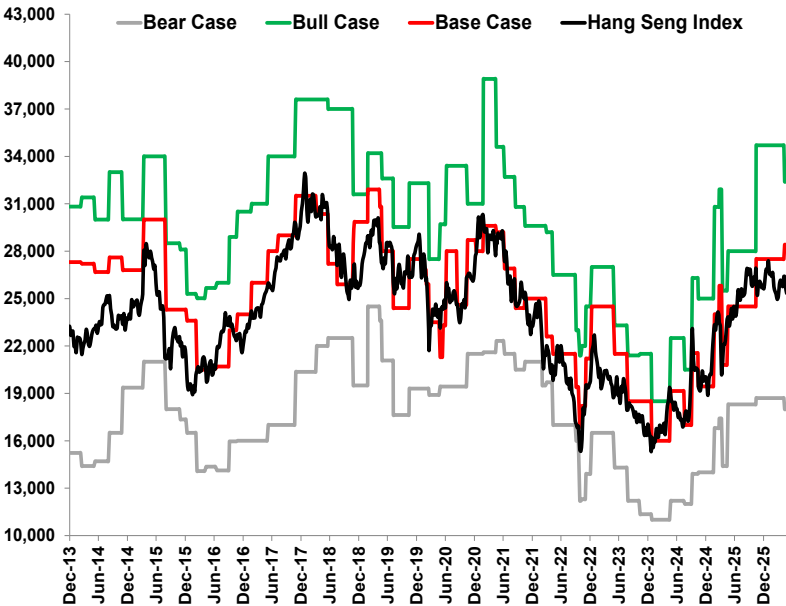
Source: MSCI, IBES, Bloomberg, FactSet, RIMES, Morgan Stanley Research estimates. Note: Data as of June 8, 2026.

Morgan Stanley bull/base/bear case index target history for MSCI China and the Hang Seng Index

MS target price history for MSCI China



MS target price history for Hang Seng



Source: RIMES, FactSet, Morgan Stanley Research forecasts. Note: Weekly price index data as of June 3, 2026.

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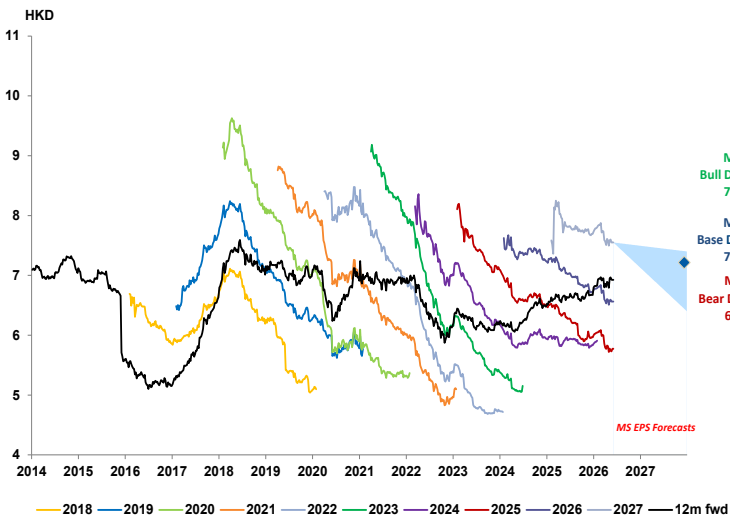
Assessing Morgan Stanley's China framework – We see brighter spots in earnings and currency

	2018	2020 Post Covid-19	2H 2021	Dec-22	Aug-23	Feb-25	2025 Year End	2026 Mid Year
1 Economic/Earnings Estimates	x	✓	Neutral	XX	XX	x	x	Neutral
2 Valuation	x	✓	x	Neutral	Neutral	✓	Neutral	Neutral
3 Liquidity	x	✓	x	✓	x	✓	✓	Neutral
4 Policy Cycle	x	✓	x	✓✓	✓	✓	✓	✓
5 USDCNY trend	x	✓	Neutral	✓	x	XX	x	✓
6 US/China & geopolitical tension	x	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	x	Interim truce	Interim truce
7 Regulatory/Policy priority	x	Neutral	x	✓	XX	✓	✓	✓
	↓	↓	↓	↓	↓	↓	↓	↓
	Downgrade	Upgrade	Downgrade	Upgrade	Downgrade	Upgrade	PT increase	PT increase

Source: Morgan Stanley Research. Note: Tick indicates our view on the factor is improving, while x indicates the factor is deteriorating, and xx indicates a greater level of deterioration.

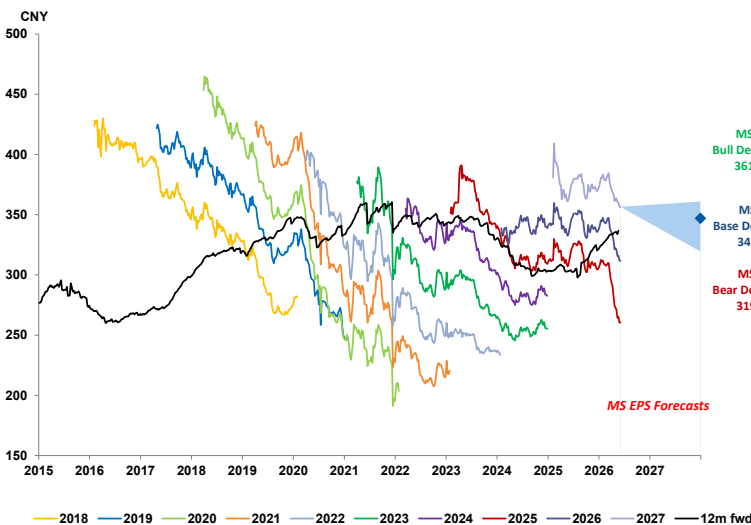
Consensus earnings estimates for MSCI China and CSI300 – We expect further downward revisions for 2026 EPS but at decelerating speed

MS EPS base-case forecasts for MSCI China at Dec-26 and Dec-27



Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of June 4, 2026.

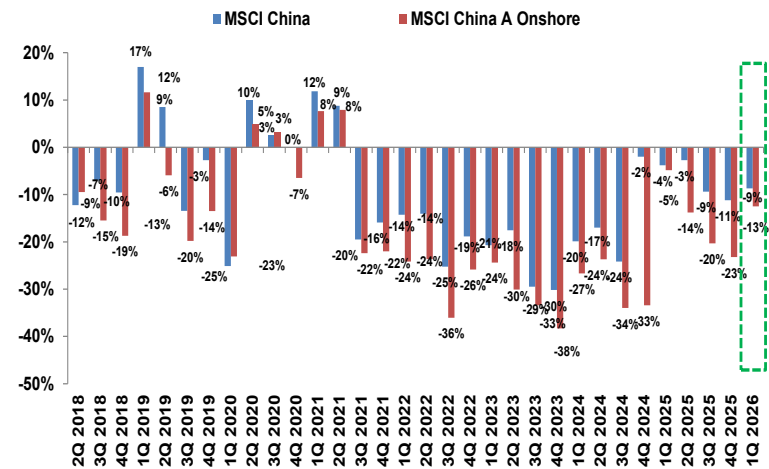
MS EPS base-case forecasts for CSI 300 at Dec-26 and Dec-27



Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of June 4, 2026.

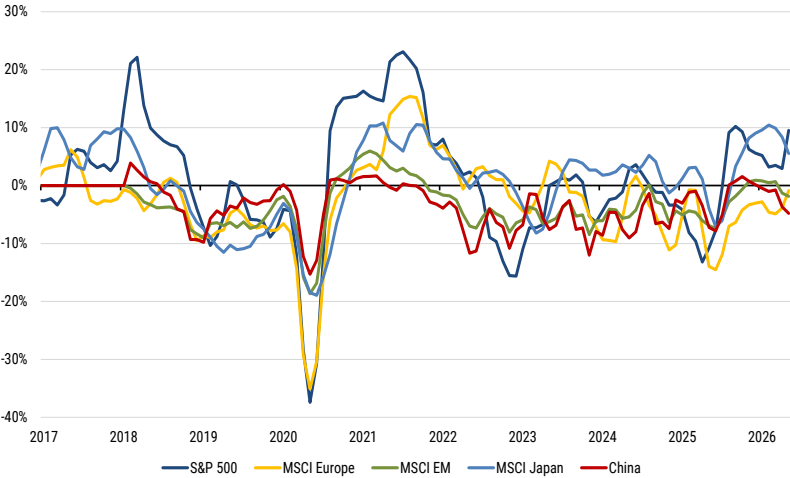
Downward earnings estimates revision pressure to peak out in 2Q and then improve

History of Chinese equity market quarterly earnings surprises by number of companies



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 28, 2026.

12-month forward consensus earnings estimate revision breadth (ERB, 3mma)



Source: Factset, Morgan Stanley Research. Note: Monthly data as of May 2026.

MSCI China consensus EPS composition by industry group

MSCI China	Consensus EPS Contribution			EPS Growth			EPS Growth Contribution		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Automobiles & Components	0.09	0.18	0.26	26%	103%	41%	0.3%	1.4%	1.0%
Banks	1.61	1.59	1.66	2%	-1%	5%	0.6%	-0.4%	1.0%
Capital Goods	0.16	0.24	0.27	-15%	52%	14%	-0.5%	1.2%	0.4%
Commercial & Professional Services	0.00	0.01	0.02	NM	NM	14%	0.0%	0.2%	0.0%
Consumer Durables & Apparel	0.10	0.12	0.13	23%	14%	10%	0.3%	0.2%	0.2%
Consumer Services	0.14	0.15	0.28	-52%	5%	88%	-2.6%	0.1%	1.7%
Diversified Financials	0.13	0.16	0.18	3%	30%	9%	0.1%	0.6%	0.2%
Energy	0.21	0.27	0.27	-13%	25%	0%	-0.6%	0.8%	0.0%
Consumer Staples Distribution & Retail	0.01	0.01	0.02	16%	7%	17%	0.0%	0.0%	0.0%
Food Beverage & Tobacco	0.10	0.12	0.14	-19%	16%	15%	-0.4%	0.3%	0.2%
Health Care Equipment & Services	0.03	0.02	0.03	-22%	-13%	10%	-0.1%	-0.1%	0.0%
Household & Personal Products	0.01	0.01	0.01	20%	13%	5%	0.0%	0.0%	0.0%
Insurance	0.69	0.62	0.67	29%	-10%	8%	2.7%	-1.0%	0.7%
Materials	0.19	0.41	0.45	25%	116%	9%	0.7%	3.4%	0.5%
Media & Entertainment	1.08	1.07	1.19	16%	0%	11%	2.6%	0.0%	1.5%
Pharmaceuticals, Biotechnology & Life Sciences	0.09	0.12	0.15	88%	32%	24%	0.7%	0.4%	0.4%
Real Estate	0.08	0.09	0.11	14%	12%	15%	0.2%	0.2%	0.2%
Consumer Discretionary Distribution & Retail	0.63	0.83	1.09	-36%	32%	32%	-6.1%	3.0%	3.5%
Semiconductors & Semiconductor Equipment	-0.01	0.02	0.04	54%	NM	87%	0.2%	0.5%	0.3%
Software & Services	-0.01	-0.01	0.00	-29%	NM	44%	0.0%	0.0%	0.0%
Technology Hardware & Equipment	0.18	0.25	0.33	23%	38%	32%	0.6%	1.0%	1.1%
Telecommunication Services	0.02	0.02	0.02	10%	26%	7%	0.0%	0.1%	0.0%
Transportation	0.09	0.10	0.11	-27%	10%	4%	-0.6%	0.1%	0.0%
Utilities	0.15	0.14	0.15	4%	-5%	6%	0.1%	-0.1%	0.1%
MSCI China	5.8	6.6	7.6	-2%	14%	15%	-2%	14%	15%

Source: IBES, MSCI, FactSet, Datastream, Morgan Stanley Research. Note: Data as June 9, 2026.

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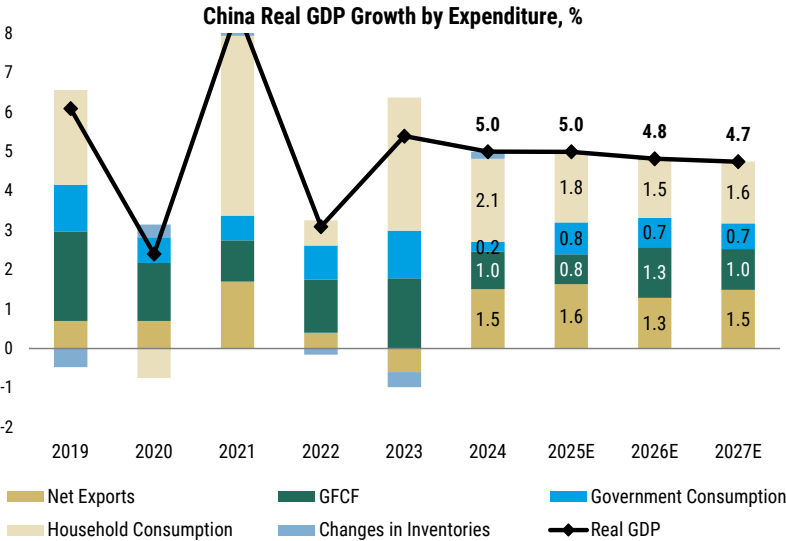
MSCI China index level earnings growth forecasts by industry based on MS bottom-up estimates

MSCI China Sectors		Index weight*		
EPS Growth Decomposition		2025E	2026E	2027E
Consumer Discretionary	22%	(28%)	5%	44%
Consumer Staples	2%	(1%)	25%	10%
Information Technology	9%	22%	15%	33%
Health Care	3%	43%	23%	(1%)
Communication Services	18%	9%	9%	14%
Utilities	1%	8%	(7%)	1%
Real Estate	1%	(39%)	26%	15%
Financials	18%	7%	(2%)	7%
Energy	3%	(12%)	30%	8%
Materials	4%	27%	79%	5%
Industrials	4%	1%	4%	15%
MS bottom up forecasts of EPS growth for MSCI China		(1%)	7%	16%
MS top down forecasts of EPS growth for MSCI China		5%	7%	10%
Consensus EPS growth for MSCI China		(2%)	14%	15%

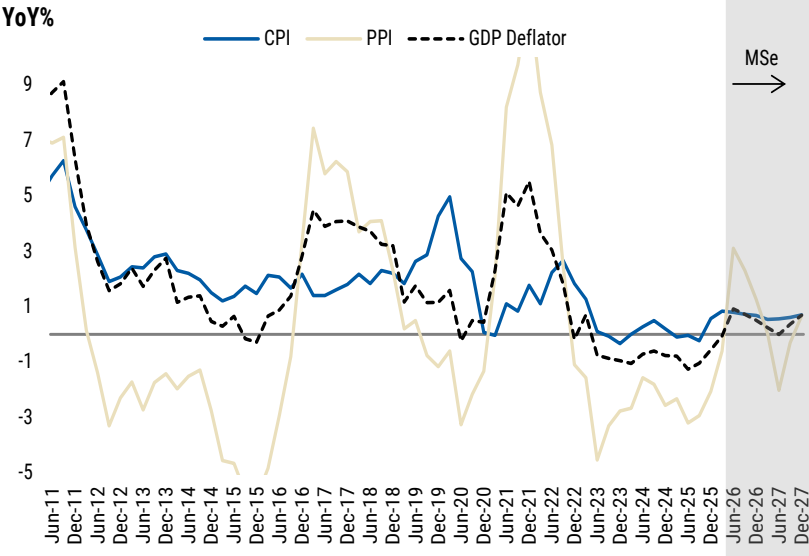
Source: FactSet, Datastream, ModelWare, Morgan Stanley Research. Note: Data as of June 9, 2026. *Only index weight of Morgan Stanley Research-covered stocks that are MSCI China constituents are counted. Hence it may not sum to 100% due to coverage.

We see stronger exports growth benefiting from global AI/Energy Capex super cycle; More clarity needs to be seen to call a sustainable reflation

Exports driving growth amid AI and energy capex super-cycle



Inflation is rising but reflation is narrow

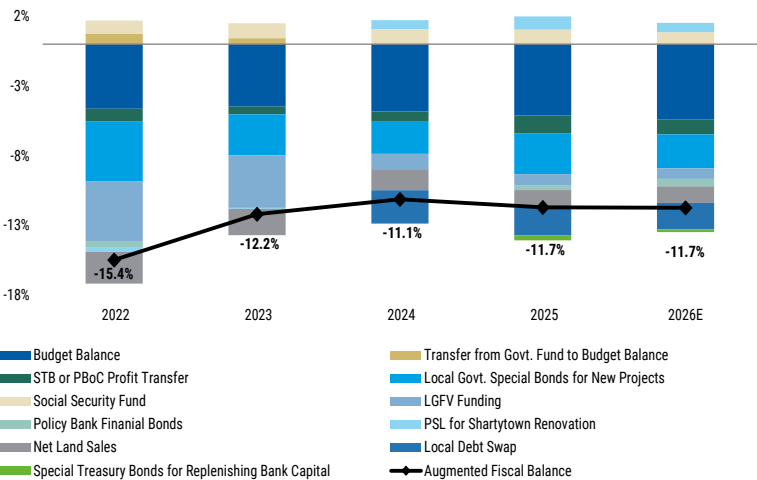


Source: CEIC, Morgan Stanley Research estimates.

Policy to stay on cruise control given resilient organic growth and export strength

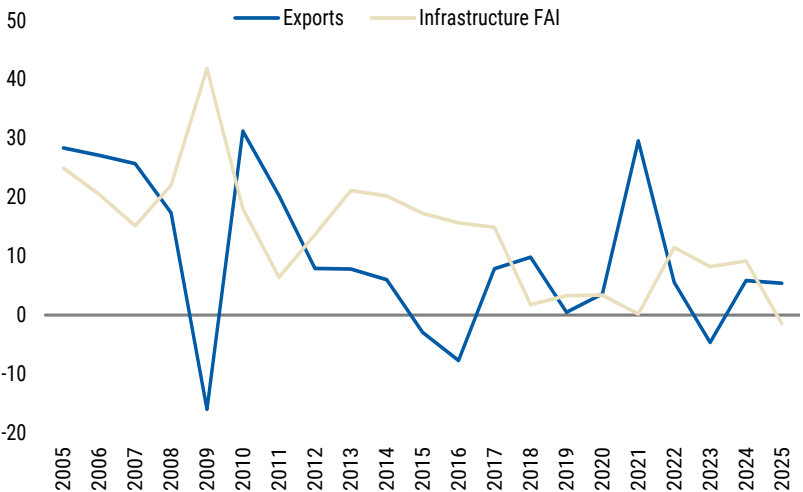
Augmented fiscal deficit will likely stay flat at this year, with no supplementary budget in 2H

Augmented Fiscal Balance, % of GDP



Export resilience reduces urgency for additional countercyclical easing

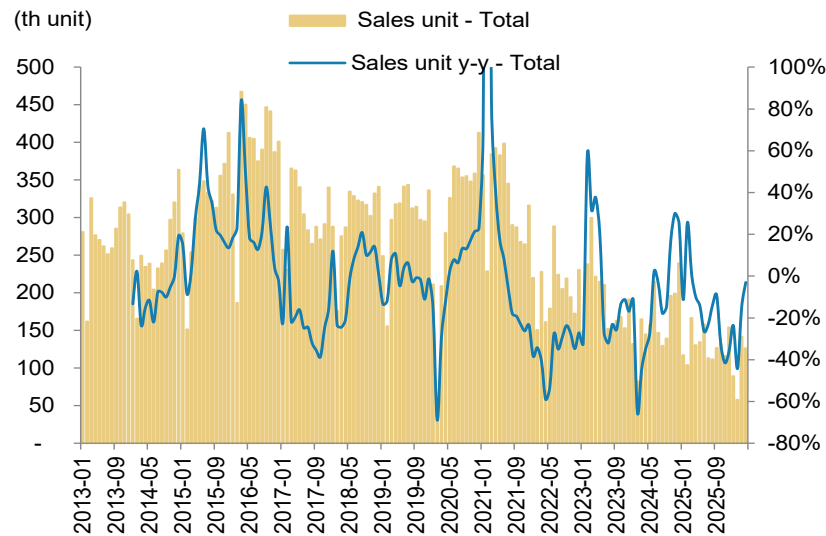
YoY%



Source: CEIC, Morgan Stanley Research estimates.

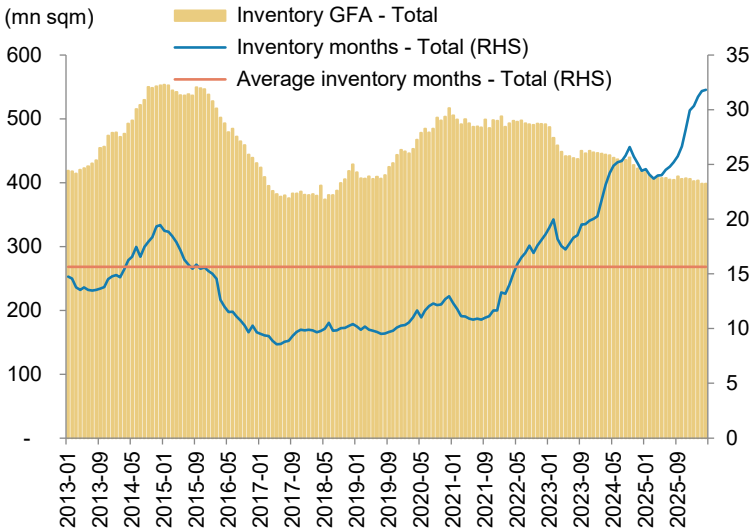
Tier-1 city property sales showing signs of improvement, but sustainability remains key to watch

Monthly primary housing sales



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-April 2026.

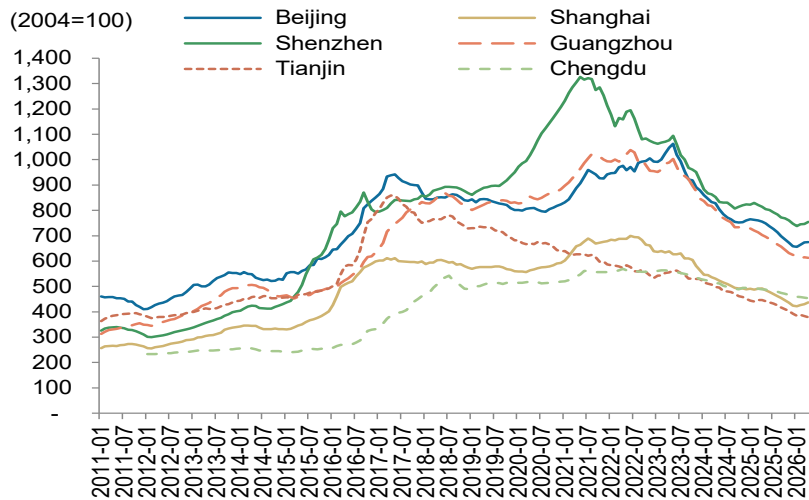
Housing inventory among 70 cities



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-April 2026.

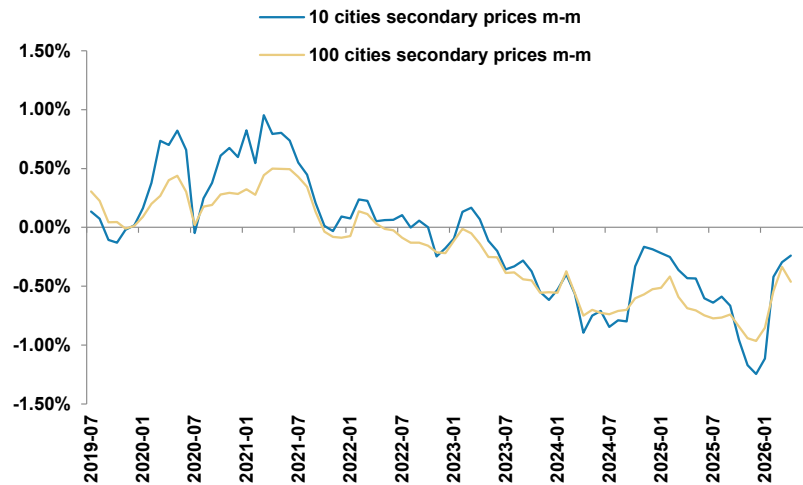
Recovery emerging in secondary property prices across select tier 1 cities, while the national market continues to lag

Beijing, Shanghai and Shenzhen secondary property prices showing signs of recovery since Feb-26



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-April 2026.

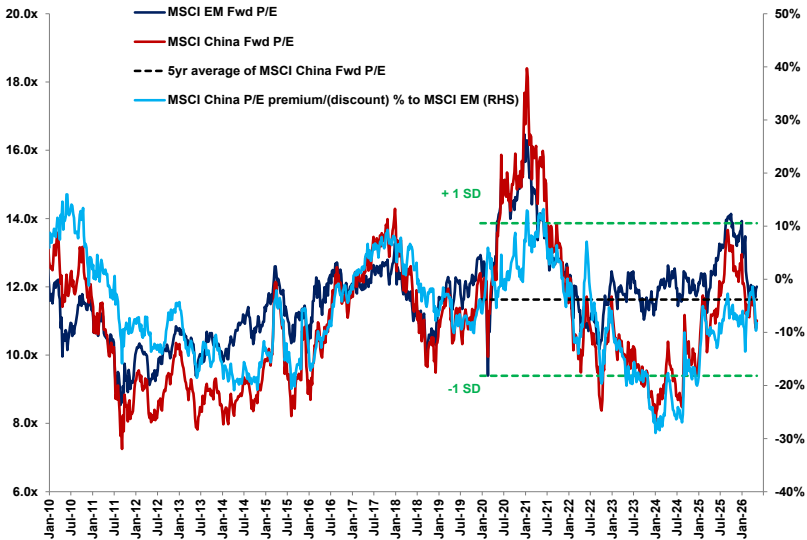
Top 10 cities secondary prices approaching flat m-m; Top 100 still declining but at a slower pace



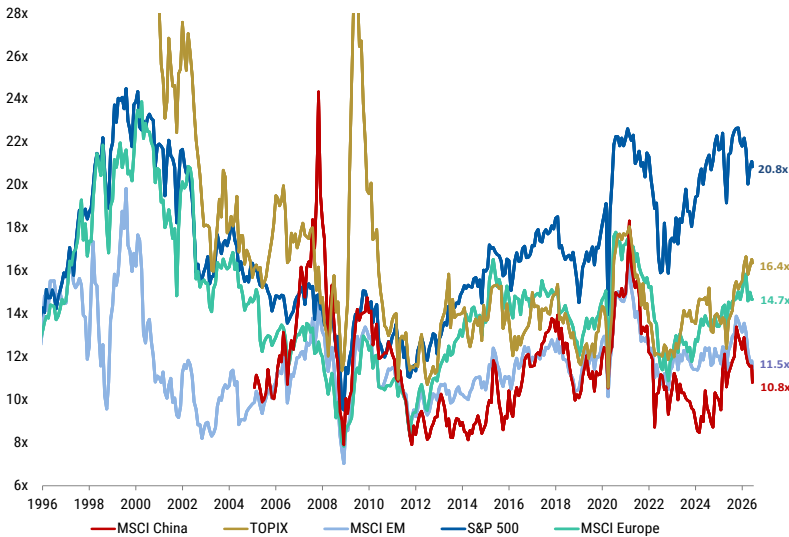
Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-April 2026.

MSCI China trades at 11x 12-month forward P/E, ~8% discount vs. MSCI EM

MSCI China Fwd P/E vs. MSCI EM Fwd P/E

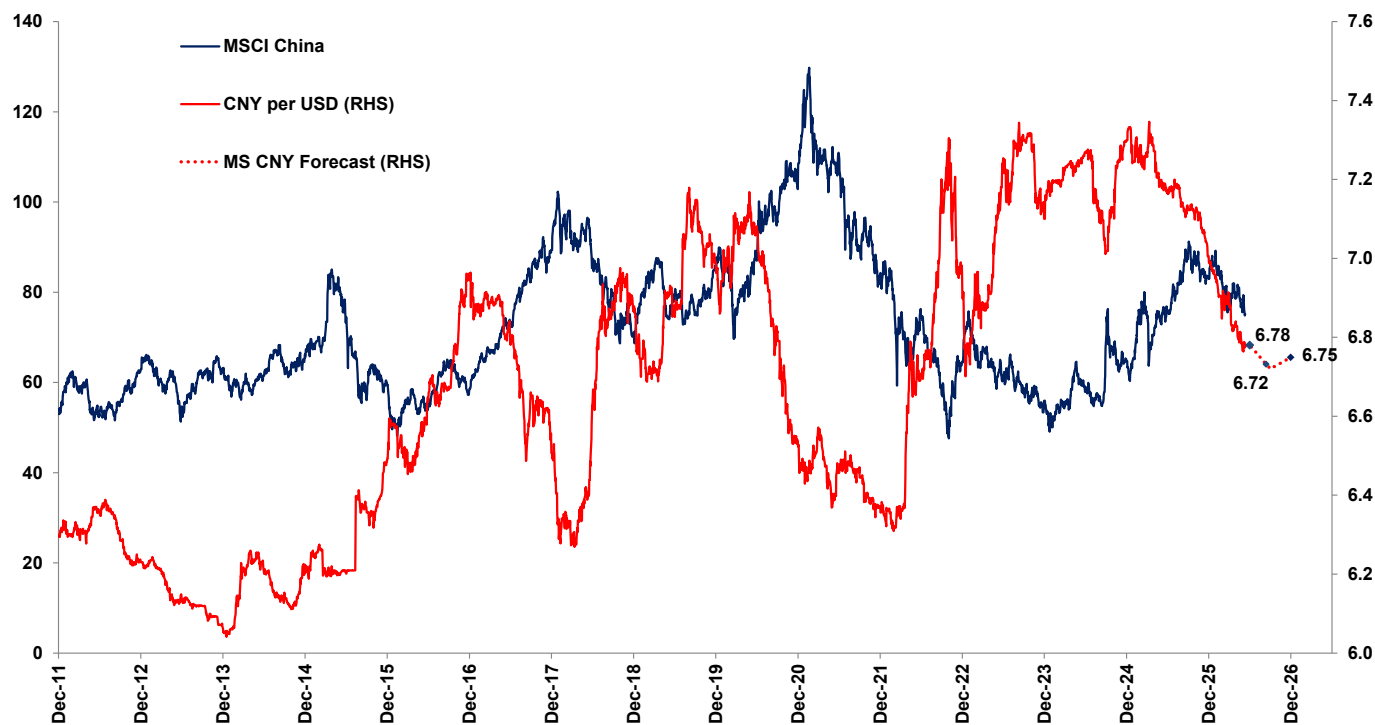


MSCI China still trades at discounts to other major global equity markets



Source: Datastream, MSCI, Morgan Stanley Research. Note: Data as of June 9, 2026.

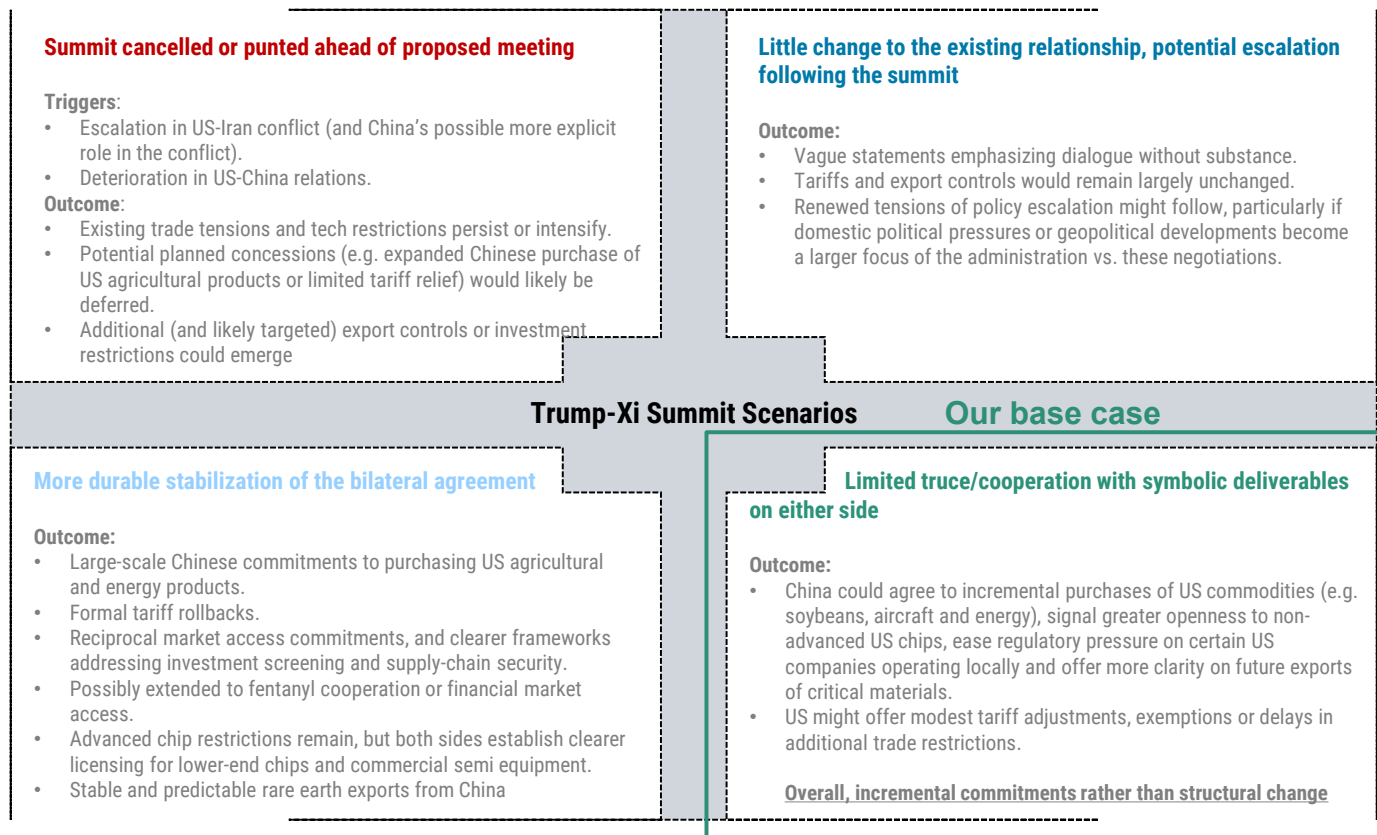
MSCI China vs. USDCNY – We see mild appreciation to continue; positive for equities



Source: CEIC, Morgan Stanley Research. Data as of June 9, 2026. MS China Economics team expects USDCNY to reach 6.78, 6.72 and 6.75 by 2Q26, 3Q26 and 2026.

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US-China relationship – We expect the truce to continue with selected relaxation re trade and tech restrictions; Overall a positive catalyst for equity market but not a game changer



Source: Morgan Stanley Research.

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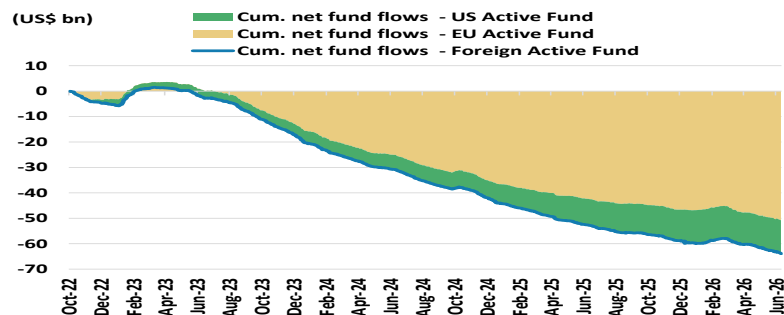
Active weights of China/HK equities by regional fund category and manager domicile – Long-only positions in China have remained heavily UW, suggesting room to add



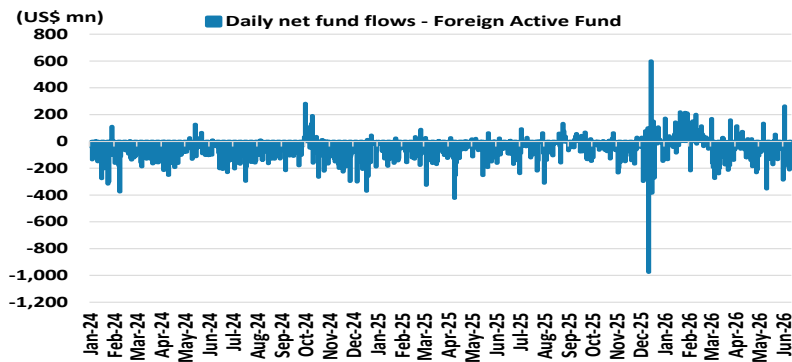
Source: Morningstar, FactSet, EPFR, Morgan Stanley Research; Note: Data as of May 31, 2026, most funds have disclosed data up to Apr 30. Fund universe of each category is formed by the largest 30 active mutual funds under Morningstar regional category. Funds under "non-US Managers" are mostly domiciled in Europe. We exclude ESG funds, Income funds, and Systematic funds. All the covered funds are benchmarking to either MSCI or FTSE standard regional indices of All Country World, Asia ex Japan, or Emerging Markets. The EPFR data and charts displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

Foreign mutual fund flows strengthened further in 2026, YTD inflows reaching 60% of full-year 2025 level, though still largely driven by passive funds

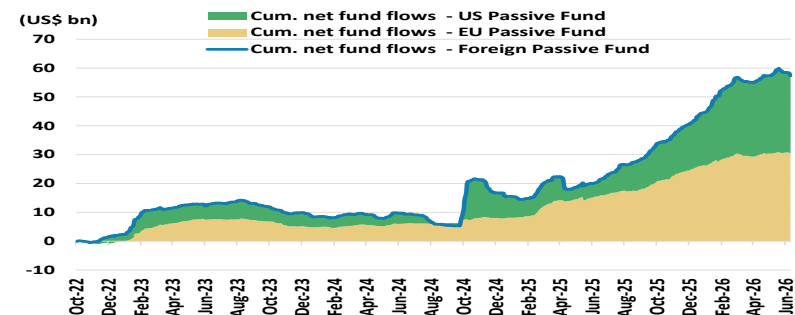
Daily cumulative fund flows – Foreign active funds



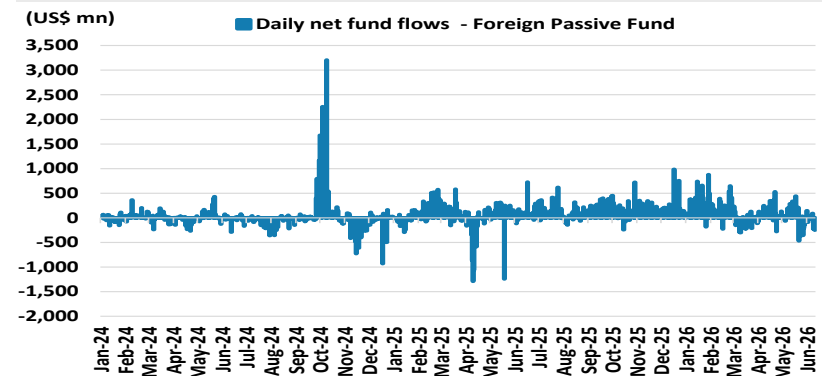
Daily net fund flows – Foreign active funds



Daily cumulative fund flows – Foreign passive funds



Daily net fund flows – Foreign passive funds



Source: EPFR, Morgan Stanley Research. Note: Data as of June 11, 2026.

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EM and China active managers' active exposure in China/HK equities by GICS Industry Group

GICS Industry Group	MSCI China Index Weights	International & US Funds			International Funds - UCITS			US Funds		
		Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month
Capital Goods	3.8%	13.6%	9.7%	0.7%	14.4%	10.6%	0.4%	12.6%	8.8%	0.9%
Insurance	4.9%	8.5%	3.6%	0.1%	7.6%	2.7%	0.0%	9.6%	4.7%	0.2%
Semiconductors & Semiconductor Equipment	2.3%	4.2%	1.9%	0.4%	4.9%	2.5%	0.7%	3.4%	1.1%	0.1%
Consumer Durables & Apparel	1.7%	3.6%	1.9%	-0.1%	4.1%	2.4%	-0.1%	3.1%	1.4%	0.0%
Food Beverage & Tobacco	2.6%	3.4%	0.8%	-0.1%	3.5%	0.9%	-0.1%	3.3%	0.7%	-0.2%
Commercial & Professional Services	0.2%	0.6%	0.4%	0.0%	0.8%	0.6%	0.0%	0.5%	0.3%	0.0%
Health Care Equipment & Services	0.4%	0.7%	0.3%	0.0%	0.7%	0.4%	0.0%	0.6%	0.3%	0.0%
Real Estate Management & Development	1.5%	1.7%	0.1%	0.0%	2.1%	0.6%	0.0%	1.2%	-0.4%	0.0%
Transportation	1.4%	1.6%	0.2%	0.0%	1.8%	0.4%	0.0%	1.4%	-0.1%	-0.1%
Household & Personal Products	0.1%	0.2%	0.0%	0.0%	0.2%	0.1%	0.0%	0.2%	0.0%	0.0%
Materials	5.6%	5.6%	0.0%	-0.1%	5.5%	-0.1%	-0.3%	5.7%	0.1%	0.1%
Telecommunication Services	0.3%	0.2%	-0.1%	-0.1%	0.3%	0.0%	-0.1%	0.1%	-0.2%	0.0%
Consumer Staples Distribution & Retail	0.4%	0.3%	-0.1%	0.0%	0.4%	0.1%	0.0%	0.1%	-0.3%	0.0%
Financial Services	1.9%	1.5%	-0.3%	-0.3%	2.0%	0.1%	-0.3%	1.0%	-0.9%	-0.3%
Pharmaceuticals Biotechnology & Life Sciences	4.6%	4.4%	-0.2%	-0.3%	4.2%	-0.4%	-0.4%	4.6%	0.0%	-0.2%
Software & Services	1.1%	0.2%	-0.9%	0.0%	0.4%	-0.8%	0.0%	0.1%	-1.0%	0.0%
Consumer Services	4.9%	3.9%	-1.0%	-0.5%	4.0%	-0.9%	-0.1%	3.7%	-1.2%	-1.0%
Technology Hardware & Equipment	6.2%	4.6%	-1.6%	0.6%	5.2%	-1.0%	0.7%	3.8%	-2.4%	0.5%
Utilities	1.9%	0.6%	-1.3%	0.1%	0.5%	-1.4%	0.1%	0.7%	-1.2%	0.1%
Automobiles & Components	4.8%	3.3%	-1.5%	0.1%	3.3%	-1.5%	0.0%	3.3%	-1.5%	0.2%
Energy	3.6%	1.4%	-2.1%	-0.2%	1.2%	-2.3%	-0.2%	1.7%	-1.9%	-0.2%
Media & Entertainment	18.4%	17.2%	-1.1%	0.1%	14.7%	-3.7%	0.4%	20.2%	1.8%	-0.1%
Consumer Discretionary Distribution & Retail	15.0%	11.5%	-3.5%	-0.6%	10.8%	-4.2%	-0.6%	12.2%	-2.8%	-0.6%
Banks	12.4%	7.1%	-5.3%	0.1%	7.0%	-5.4%	-0.3%	7.2%	-5.2%	0.6%

Source: FactSet, MorningStar, EPFR, Morgan Stanley Research. Note: Data as of May 31, 2026, most funds have disclosed data up to Apr 30.

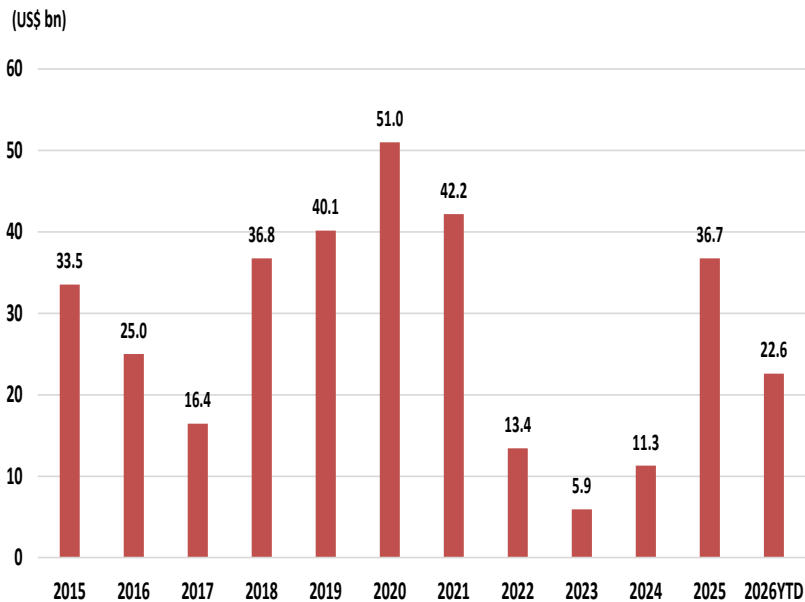
Top 50 China/HK holdings among long-only EM and China active managers

			International & US Funds				International Funds - UCITS				US Funds		
Ticker	Company Name	GICS Industry Group	Portfolio Composite Weights	MSCI China Index Weights	Active Weights	Active Wgt. Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Wgt. Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Wgt. Changes vs. last month	
700-HK	Tencent Holdings	Media & Entertainment	13.4%	14.2%	0.7%	-0.1%	10.7%	3.4%	0.2%	16.5%	2.4%	-0.4%	
9988-HK	Alibaba Group Holding	Consumer Discretionary Distribution & Retail	9.1%	10.3%	1.2%	-0.6%	8.1%	2.1%	-0.6%	10.1%	0.1%	-0.6%	
300750-CN	Contemporary Amperex Technology	Capital Goods	4.7%	0.9%	3.8%	0.2%	4.6%	3.7%	0.0%	4.8%	3.9%	0.4%	
2318-HK	Ping An Insurance Group	Insurance	3.4%	2.2%	1.2%	0.0%	3.4%	1.2%	0.0%	3.4%	1.2%	0.1%	
939-HK	China Construction Bank	Banks	3.4%	4.1%	0.7%	-0.1%	2.4%	1.7%	-0.1%	4.4%	0.3%	0.0%	
1299-HK	AIA Group	Insurance	2.9%	0.0%	2.9%	0.1%	2.5%	2.5%	0.1%	3.4%	3.4%	0.1%	
9999-HK	NetEase	Media & Entertainment	2.0%	1.5%	0.5%	0.3%	2.3%	0.8%	0.2%	1.7%	0.2%	0.3%	
2899-HK	Zijin Mining Group	Materials	1.8%	1.2%	0.6%	0.0%	1.4%	0.1%	-0.1%	2.3%	1.1%	0.0%	
3968-HK	China Merchants Bank	Banks	1.7%	1.1%	0.6%	0.0%	2.1%	1.0%	0.0%	1.2%	0.1%	0.0%	
688008-CN	Montage Technology	Semiconductors & Semiconductor Equipment	1.6%	0.1%	1.6%	0.6%	1.7%	1.6%	0.7%	1.6%	1.5%	0.6%	
PDD-US	PDD Holdings	Consumer Discretionary Distribution & Retail	1.5%	2.6%	1.2%	0.0%	1.6%	1.0%	-0.1%	1.3%	1.3%	0.0%	
1211-HK	BYD	Automobiles & Components	1.4%	2.0%	0.6%	0.2%	0.6%	1.3%	0.1%	2.2%	0.3%	0.2%	
000333-CN	Midea Group	Consumer Durables & Apparel	1.3%	0.3%	1.1%	0.0%	1.3%	1.1%	0.0%	1.3%	1.1%	0.0%	
HTHT-US	H World Group	Consumer Services	1.2%	0.4%	0.8%	-0.2%	1.0%	0.6%	-0.1%	1.4%	1.0%	-0.3%	
600519-CN	Kweichow Moutai	Food Beverage & Tobacco	1.2%	0.6%	0.6%	0.0%	1.3%	0.7%	0.0%	1.1%	0.5%	0.0%	
002028-CN	Sieyuan Electric	Capital Goods	1.1%	0.0%	1.1%	0.0%	0.9%	0.9%	0.0%	1.3%	1.3%	0.0%	
2359-HK	WuXi AppTec	Pharmaceuticals Biotechnology & Life Sciences	1.0%	0.3%	0.7%	-0.1%	0.6%	0.3%	-0.1%	1.5%	1.2%	-0.1%	
300308-CN	Zhongji Innolight	Technology Hardware & Equipment	0.9%	0.3%	0.6%	0.2%	1.0%	0.7%	0.3%	0.7%	0.4%	0.1%	
2338-HK	Weichai Power	Capital Goods	0.8%	0.4%	0.4%	0.0%	0.7%	0.3%	0.0%	1.0%	0.6%	0.0%	
2628-HK	China Life Insurance	Insurance	0.8%	1.0%	0.3%	0.0%	0.4%	0.7%	-0.1%	1.3%	0.2%	0.0%	
992-HK	Lenovo Group	Technology Hardware & Equipment	0.8%	0.4%	0.3%	0.3%	0.4%	0.0%	0.2%	1.2%	0.8%	0.4%	
9888-HK	Baidu	Media & Entertainment	0.8%	1.3%	0.5%	0.0%	0.7%	0.5%	0.0%	0.8%	0.4%	0.0%	
1398-HK	Industrial and Commercial Bank of China	Banks	0.7%	2.3%	1.6%	0.0%	1.0%	1.3%	-0.1%	0.5%	1.9%	0.1%	
002371-CN	NAURA Technology Group	Semiconductors & Semiconductor Equipment	0.7%	0.1%	0.6%	0.1%	0.7%	0.6%	0.1%	0.8%	0.6%	0.1%	
2328-HK	PICC Property & Casualty	Insurance	0.7%	0.5%	0.3%	0.1%	0.6%	0.1%	0.1%	0.9%	0.5%	0.1%	
9961-HK	Trip.com Group	Consumer Services	0.7%	1.2%	0.5%	-0.1%	1.0%	0.3%	-0.2%	0.4%	0.8%	-0.1%	
857-HK	PetroChina	Energy	0.7%	1.3%	0.6%	0.0%	0.7%	0.6%	-0.1%	0.8%	0.5%	0.1%	
600660-CN	Fuyao Glass Industry Grp	Automobiles & Components	0.7%	0.2%	0.5%	-0.1%	0.9%	0.7%	-0.1%	0.4%	0.2%	-0.1%	
388-HK	Hong Kong Exchanges & Clearing	Financial Services	0.7%	0.0%	0.7%	0.0%	0.7%	0.7%	0.0%	0.6%	0.6%	0.0%	
YMM-US	Full Truck Alln	Transportation	0.6%	0.0%	0.6%	0.0%	0.7%	0.7%	0.0%	0.5%	0.5%	0.0%	
1810-HK	Xiaomi	Technology Hardware & Equipment	0.6%	2.4%	1.8%	0.3%	0.7%	1.7%	0.2%	0.5%	1.8%	0.4%	
669-HK	Tecltron Industries	Capital Goods	0.6%	0.0%	0.6%	0.0%	0.5%	0.5%	0.0%	0.7%	0.7%	0.0%	
3690-HK	Meituan	Consumer Services	0.6%	2.0%	1.4%	-0.2%	0.7%	1.3%	0.0%	0.5%	1.5%	-0.5%	
600031-CN	Sany Heavy Industry	Capital Goods	0.6%	0.1%	0.5%	0.0%	0.5%	0.4%	0.0%	0.7%	0.6%	-0.1%	
1109-HK	China Resources Land	Real Estate Management & Development	0.6%	0.5%	0.1%	0.0%	0.6%	0.1%	0.0%	0.5%	0.0%	0.0%	
3692-HK	Hansoh Pharmaceutical Group	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.3%	0.3%	-0.1%	0.3%	0.0%	-0.1%	0.9%	0.7%	-0.2%	
2020-HK	ANTA Sports Products	Consumer Durables & Apparel	0.5%	0.5%	0.1%	0.0%	0.7%	0.2%	0.0%	0.3%	0.1%	0.0%	
688012-CN	Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	0.5%	0.1%	0.5%	-0.1%	0.5%	0.4%	-0.1%	0.6%	0.5%	-0.1%	
600690-CN	Haier Smart Home	Consumer Durables & Apparel	0.5%	0.3%	0.2%	0.0%	0.5%	0.2%	0.0%	0.5%	0.2%	0.0%	
1801-HK	Innovent Biologics	Pharmaceuticals Biotechnology & Life Sciences	0.5%	0.6%	0.1%	0.0%	0.5%	0.1%	0.0%	0.4%	0.2%	0.0%	
6160-HK	BeOne Medicines	Pharmaceuticals Biotechnology & Life Sciences	0.5%	0.7%	0.2%	0.1%	0.3%	0.4%	0.0%	0.6%	0.1%	0.1%	
BZ-US	Kanzhun	Commercial & Professional Services	0.5%	0.2%	0.3%	0.0%	0.5%	0.3%	0.0%	0.4%	0.2%	0.0%	
600276-CN	Jiangsu Hengrui Pharmaceuticals	Pharmaceuticals Biotechnology & Life Sciences	0.4%	0.1%	0.3%	0.0%	0.6%	0.5%	0.0%	0.3%	0.2%	0.0%	
002463-CN	Wus Printed Circuit	Technology Hardware & Equipment	0.4%	0.1%	0.4%	0.1%	0.5%	0.5%	0.1%	0.3%	0.2%	0.1%	
386-HK	China Petroleum Chemical	Energy	0.4%	0.6%	0.1%	-0.1%	0.1%	0.4%	0.0%	0.7%	0.2%	-0.2%	
2259-HK	Zijin Gold International	Materials	0.4%	0.2%	0.2%	0.0%	0.4%	0.3%	-0.1%	0.4%	0.2%	0.0%	
300274-CN	Sungrow Power Supply	Capital Goods	0.4%	0.1%	0.3%	0.1%	0.6%	0.6%	0.2%	0.1%	0.0%	0.0%	
TME-US	Tencent Music Entertainment	Media & Entertainment	0.4%	0.2%	0.2%	0.0%	0.3%	0.1%	0.0%	0.5%	0.3%	-0.1%	
291-HK	China Resources Beer (Holdings)	Food Beverage & Tobacco	0.4%	0.2%	0.2%	0.0%	0.2%	0.0%	0.0%	0.5%	0.3%	-0.1%	

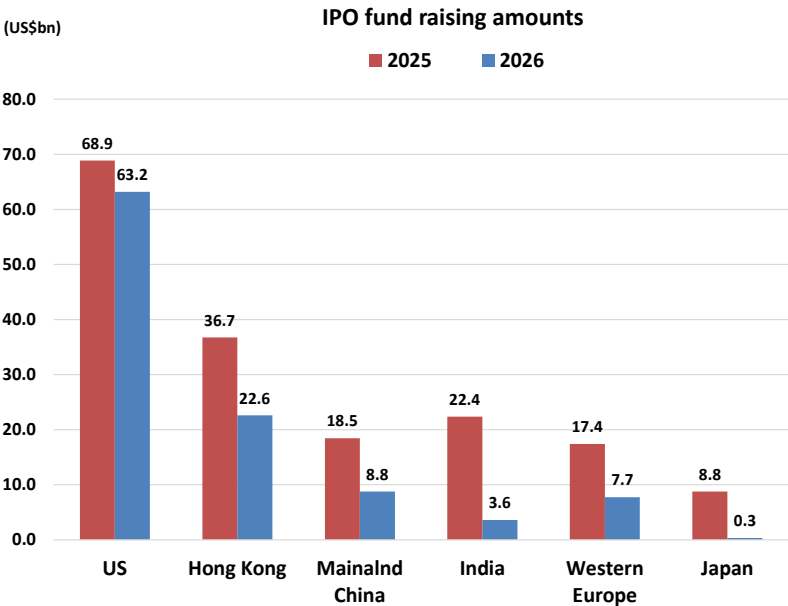
Source: FactSet, MorningStar, EPFR, Morgan Stanley Research. Note: Data as of May 31, 2026, most funds have disclosed data up to April 30.

Hong Kong IPO fund raising hit US\$37bn and US\$23bn in 2025 and 2026 YTD, respectively, making Hong Kong one of the most active IPO markets globally

Historical IPO US\$ amount in Hong Kong by year



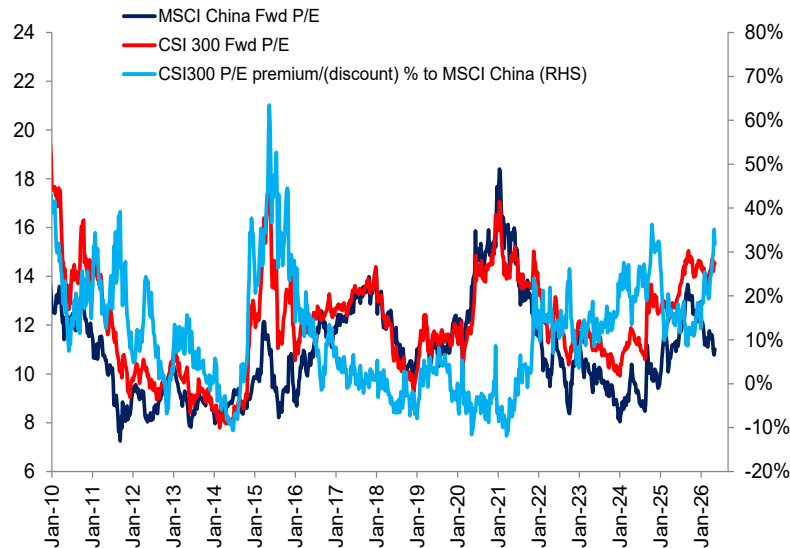
2025-26 YTD IPO fund raising by market



Source: Wind, Bloomberg, Morgan Stanley Research. Data as of June 10, 2026.

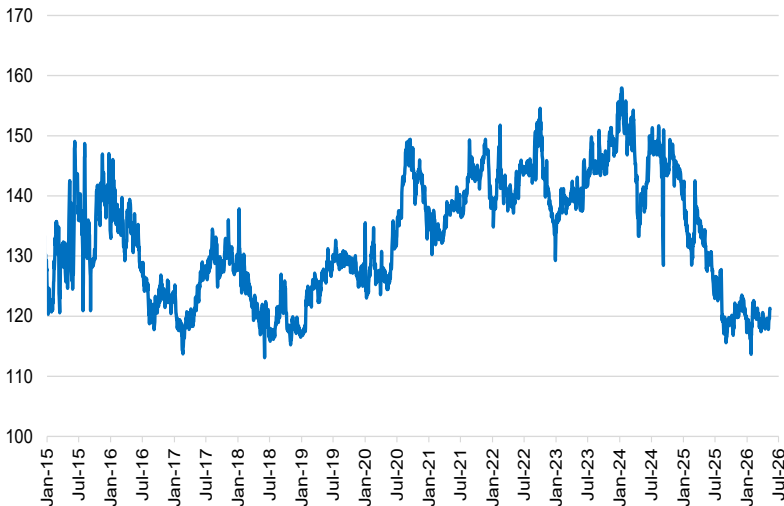
CSI 300 trades at 14.5x with ~32% valuation premium to MSCI China

Valuation of CSI300 absolute and relative to MSCI China



Source: Datastream, Morgan Stanley Research. Weekly data as of June 4, 2026.

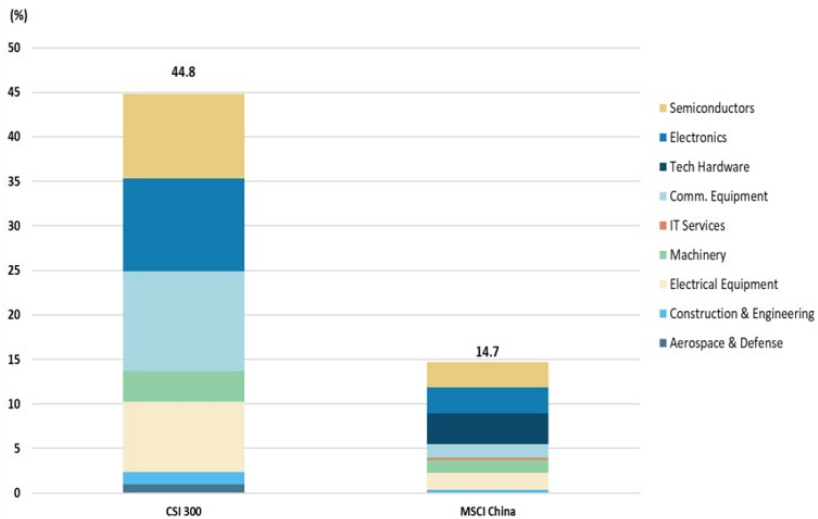
Hang Seng A-H Premium index



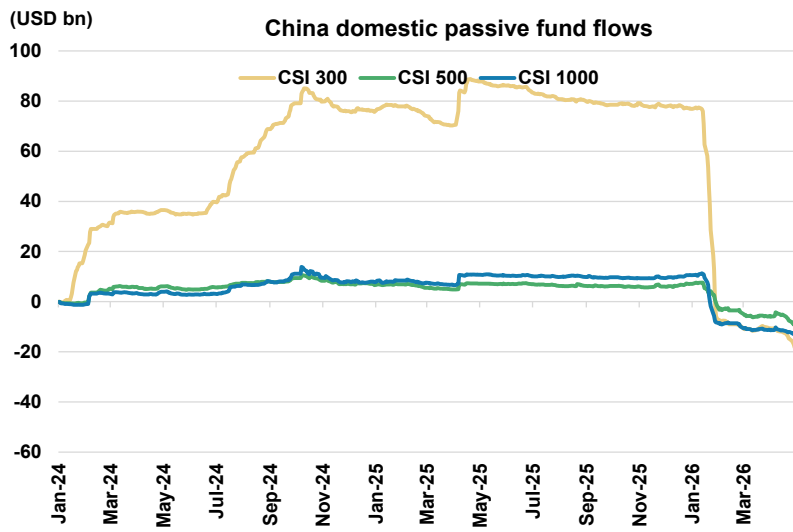
Source: Factset, Morgan Stanley Research. Data as of June 10, 2026

We stay OW on A-shares vs. offshore China – Bigger concentration in high-end upstream and deep tech space while National Team stands by with deep pocket

Bigger concentration in high-end manufacturing and hard-tech companies in onshore China



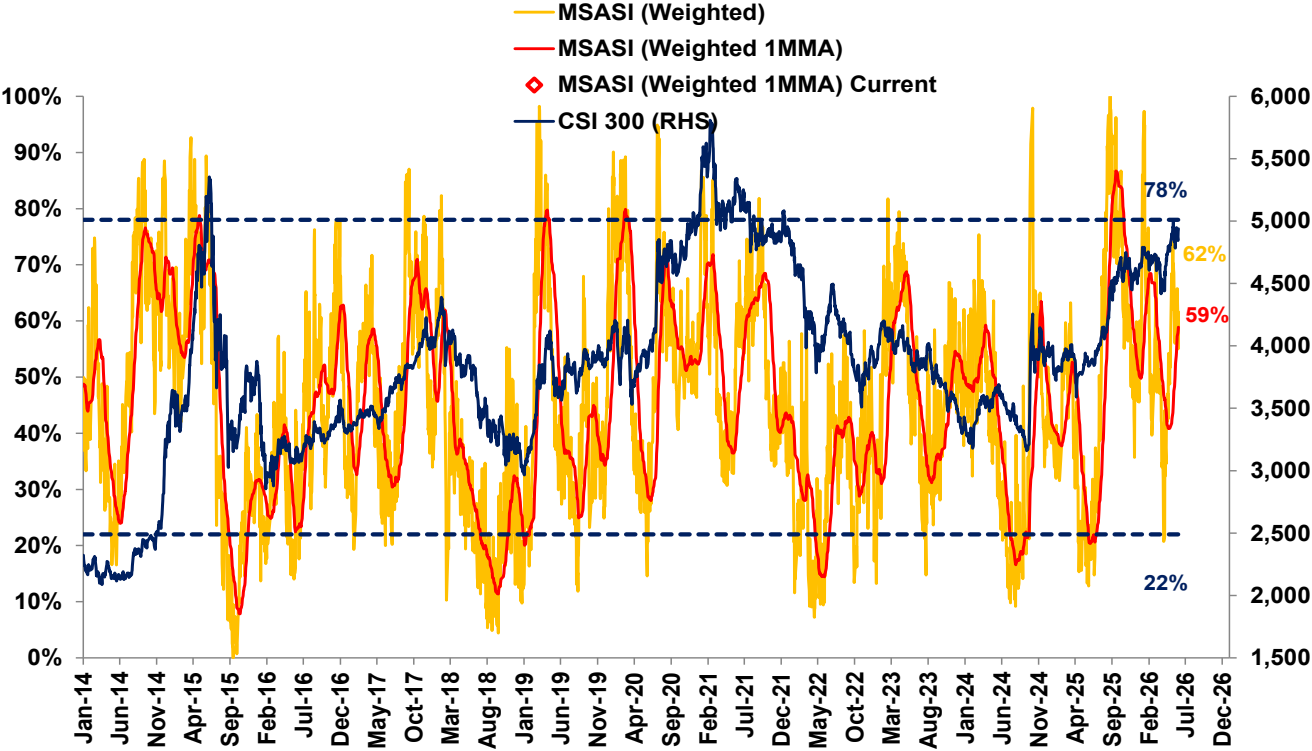
National team retains significant dry power after selling ~US\$88bn in Jan-Apr 2026



Source: Datastream, Morgan Stanley Research. Weekly data as of June 10, 2026.

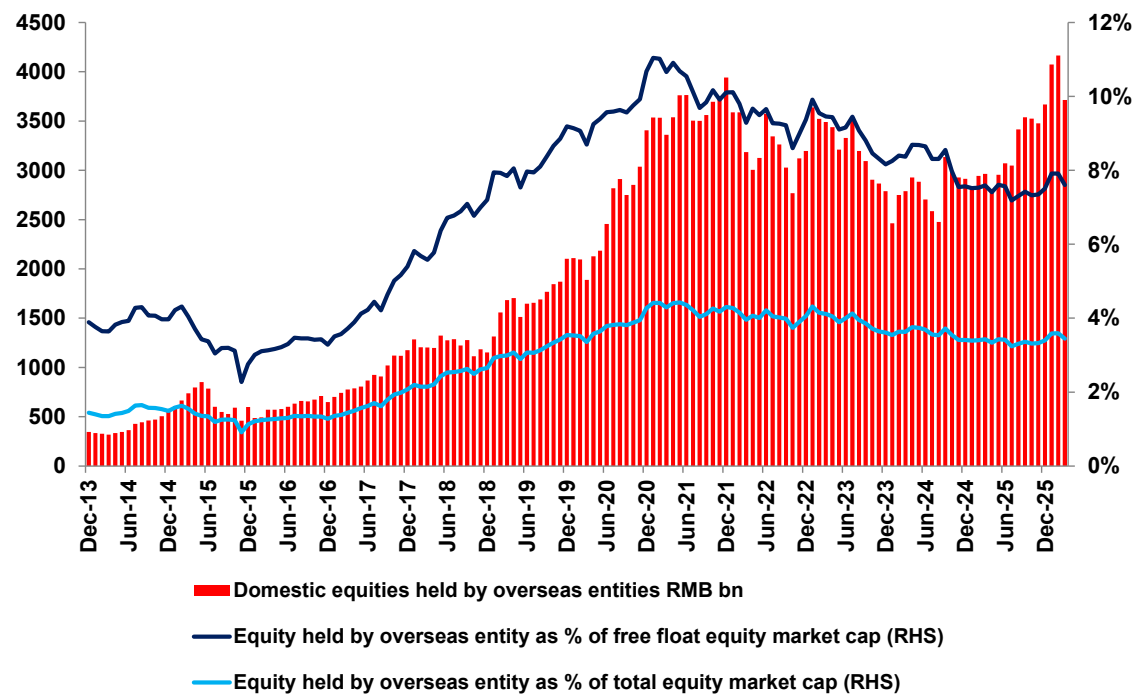
Source: Factset, Morgan Stanley Research. Data as of June 11, 2026

Morgan Stanley A-share Sentiment Index (MSASI) – Helps capture critical inflection points signaling regulatory intervention and/or technical reversals



Source: CEIC, Bloomberg, Wind, RIMES, Morgan Stanley Research. Data as of June 3, 2026.

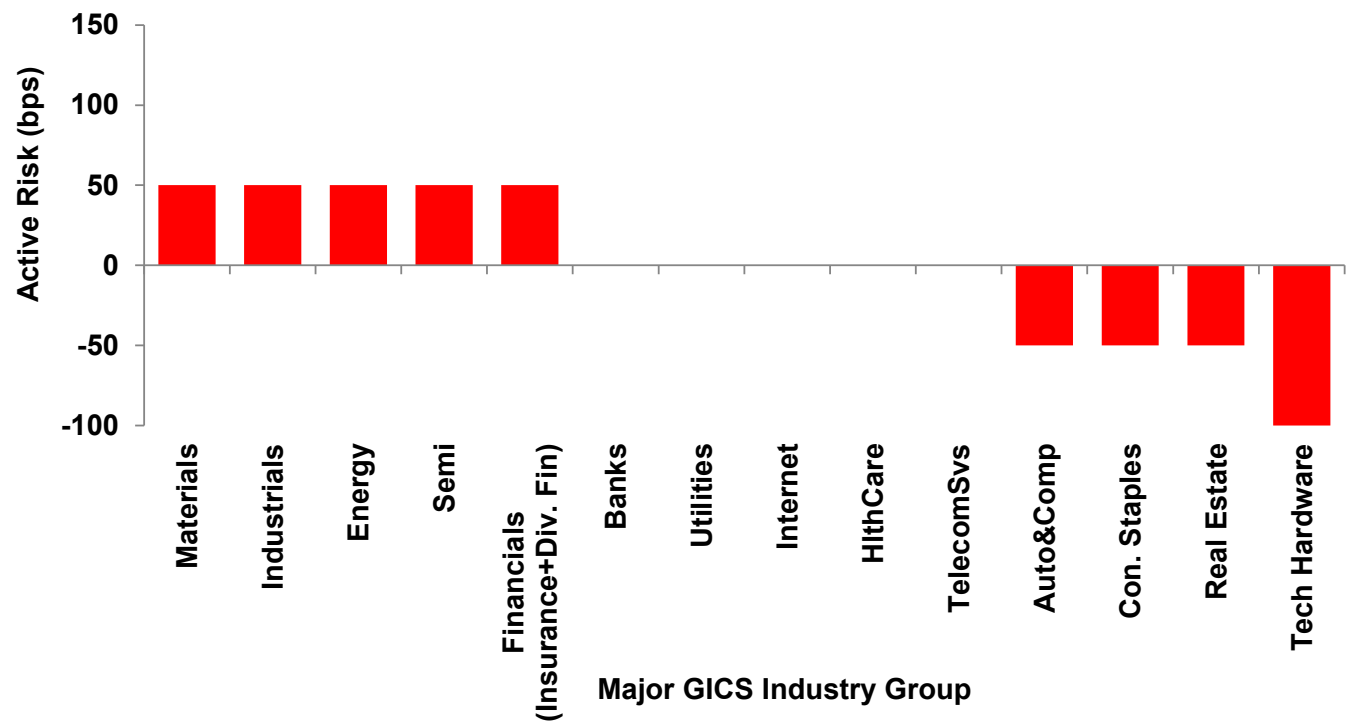
Chinese A-share market foreign ownership as a percentage of total and free float market cap – Marginal pickup since mid-2025



Source: CEIC, Wind, Bloomberg, FactSet, Morgan Stanley Research. Note: Quarterly data as of end-March 2026.

Morgan Stanley

Morgan Stanley top-down sector allocation for China market – We strongly prefer upstream sectors positioned to benefit from AI/Energy capex super cycle



Source: Morgan Stanley Research.

Morgan Stanley

Key recommended trades for the next 6-12 months

- Overweight A-shares vs. offshore;
- Morgan Stanley China/Hong Kong Focus List and A-share Thematic Focus List;
- China Best Business Model;
- China's Global Export Champions;
- Event-driven tactical trade of Stock Connect Southbound inclusion/deletion.

Source: Morgan Stanley Research.

Morgan Stanley

China Best Business Models – Robust stock selection to weather global macro uncertainty with superior risk-adjusted return

US\$32bn
Mkt Cap***

10%
Trailing RNOA**

1.5x
Trailing ROE* vs MSCI China

14.8x
12-mth Fwd P/E*

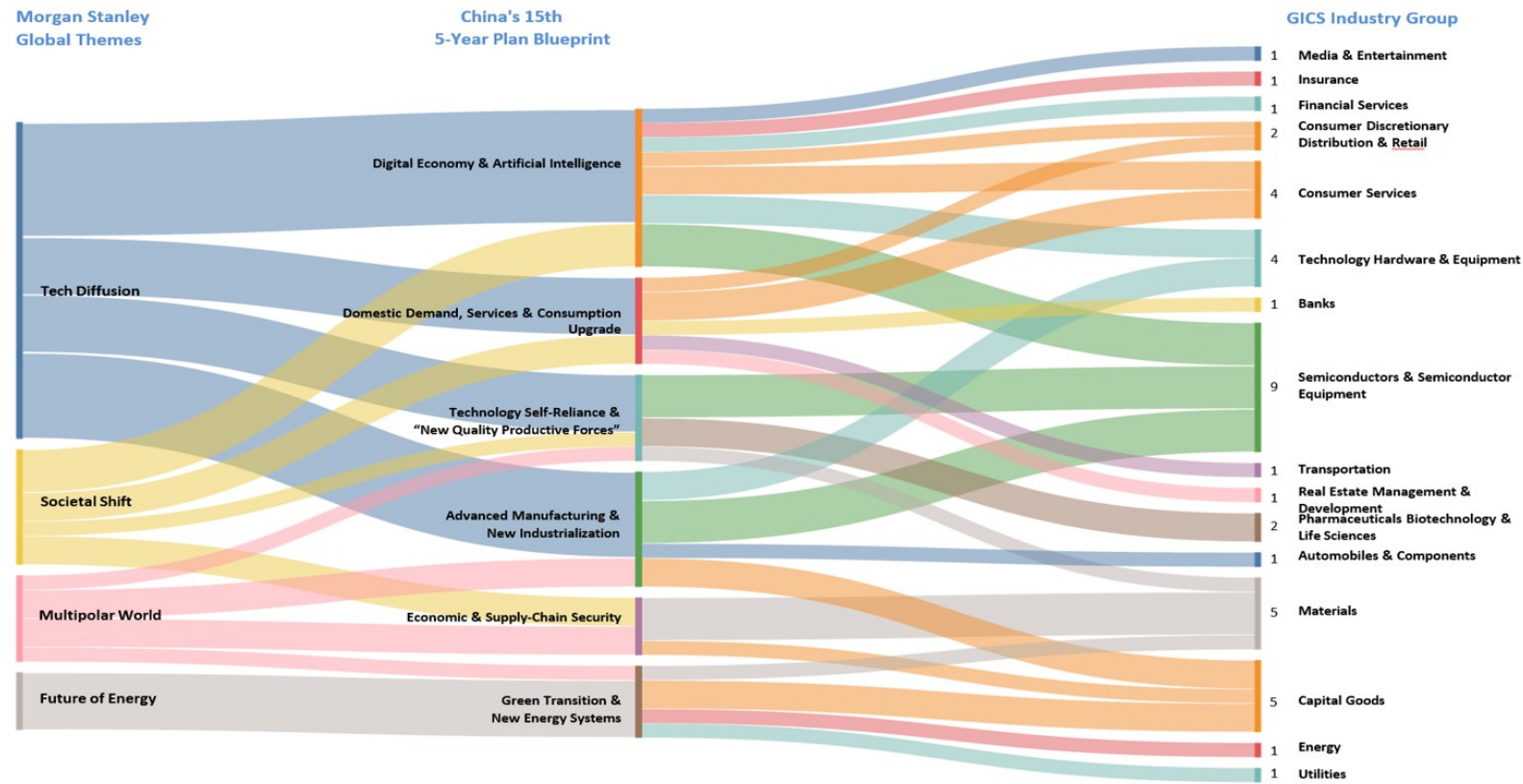
2.5x
12-mth Trailing P/B*

1.16
3-year
Sharpe Ratio

	Annualized total return in US\$		Standard deviation		Sharpe ratio	
	China BBM v2	MSCI China	China BBM v2	MSCI China	China BBM v2	MSCI China
5 Yr (2021 - 2025)	15.3%	(3.0%)	22.5%	27.1%	0.53	(0.24)
3 Yr (2023 - 2025)	27.8%	11.8%	20.4%	24.0%	1.16	0.32
1 Yr (May 2025 - May 2026)	91.0%	14.5%	20.0%	19.0%	4.34	0.54

Source: IBES, FactSet, Morgan Stanley Research. Data as of May 7, 2026.

China Best Business Models – Aligns with Morgan Stanley Global Theme as well as China’s long-term national growth strategy plan



Source: Morgan Stanley Research.

China Best Business Models – 25 champions identified with best competitive advantages and industry moats from 16 industry groups

Ticker	Company Name	GICS Sector	GICS Industry Group	MS Rating	MS Analyst	New Inclusion	MS Global Themes	AI Exposure
0700.HK	Tencent Holdings Ltd.	Communication Services	Media & Entertainment	OW	Yu, Gary		Tech Diffusion	AI enabler
3606.HK	Fuyao Glass Industry Group	Consumer Discretionary	Automobiles & Components	EW	Wang, Shelley		Multipolar World	Others – protected from AI disruption
BABA.N	Alibaba Group Holding	Consumer Discretionary	Consumer Discretionary Distribution & Retail	OW	Yu, Gary		Tech Diffusion	AI enabler
YUMC.N	Yum China Holdings Inc.	Consumer Discretionary	Consumer Services	OW	Lou, Lillian		Societal Shift	AI adopter
HTHT.O	H World Group Ltd	Consumer Discretionary	Consumer Services	OW	Chee, Dan		Societal Shift	AI adopter
0857.HK	PetroChina	Energy	Energy	OW	Lu, Jack		Future of Energy	Others – protected from AI disruption
002142.SZ	Bank of Ningbo Co. Ltd	Financials	Banks	OW	Xu, Richard		Tech Diffusion	AI adopter
FUTU.O	Futu Holdings Ltd	Financials	Financial Services	OW	Huang, Chiyao	+	Tech Diffusion	AI adopter
2318.HK	Ping An Insurance Group Co of China Ltd	Financials	Insurance	OW	Xu, Richard		Societal Shift	AI adopter
600276.SS	Jiangsu Hengrui	Health Care	Pharmaceuticals Biotechnology & Life Sciences	OW	Yan, Alexis	+	Societal Shift	AI adopter
3696.HK	Insilico Medicine	Health Care	Pharmaceuticals Biotechnology & Life Sciences	OW	Lin, Jack	+	Tech Diffusion	AI enabler
300750.SZ	Contemporary Amperex Technology Co. Ltd.	Industrials	Capital Goods	OW	Lu, Jack	+	Future of Energy	AI enabler
0669.HK	Techtronic Industries Co Ltd	Industrials	Capital Goods	OW	Cheng, Terence	+	Multipolar World	AI adopter
002028.SZ	Sieyuan Electric Co.Ltd.	Industrials	Capital Goods	OW	Hou, Eva	+	Future of Energy	AI enabler
ZTO.N	ZTO Express	Industrials	Transportation	OW	Fan, Qianlei	+	Tech Diffusion	AI adopter
002371.SZ	NAURA Technology Group Co Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Chan, Charlie	+	Tech Diffusion	AI enabler
688008.SS	Montage Technology Co Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Yen, Daniel	+	Tech Diffusion	AI enabler
0522.HK	ASMPT Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Dai, Daisy	+	Tech Diffusion	AI enabler
601138.SS	Foxconn Industrial Internet Co. Ltd.	Information Technology	Technology Hardware & Equipment	OW	Shih, Sharon	+	Tech Diffusion	AI enabler
002475.SZ	Luxshare Precision Industry Co., Ltd.	Information Technology	Technology Hardware & Equipment	OW	Shih, Sharon		Tech Diffusion	Others – protected from AI disruption
2899.HK	Zijin Mining Group	Materials	Materials	OW	Zhang, Rachel	+	Multipolar World	AI enabler
6655.HK	Huaxin Cement Co	Materials	Materials	OW	Zhang, Rachel	+	Societal Shift	Others – protected from AI disruption
300487.SZ	Sunresin New Materials Co Ltd	Materials	Materials	EW	Xu, Kaylee	+	Societal Shift	Others – protected from AI disruption
1109.HK	China Resources Land Ltd.	Real Estate	Real Estate Management & Development	OW	Cheung, Stephen	+	Tech Diffusion	AI adopter
600900.SS	China Yangtze Power Co.	Utilities	Utilities	OW	Hou, Eva		Future of Energy	Others – protected from AI disruption

Source: Morgan Stanley Research.

Morgan Stanley

Morgan Stanley Global Export Champion Stock List

Ticker	Company name	Analyst Rating	GICS industry group	Last Price (US\$)	Avg daily t/o US\$ mn	Mkt cap. US\$ bn	Upside to target	EPS Growth (MS estimate)		ROE		PE		DY		Analyst	2025 Overseas revenue
								2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e		
603308.SS	Anhui Yingliu Electromechanical Co Ltd	OW	Capital Goods	8.47	127	6	76.3%	67%	93%	10.9%	18.6%	67.4	35.0	0.3%	0.4%	Li, Tom	53%
2590.HK	Beijing Geekplus Technology Co., Ltd.	OW	Capital Goods	1.62	12	2	128.7%	506%	408%	1.8%	8.8%	232.7	45.8	NA	NA	Zhong, Sheng	71%
300750.SZ	Contemporary Amperex Technology Co. Ltd.	OW	Capital Goods	56.42	1,641	272	55.7%	27%	35%	25.8%	29.4%	18.6	13.7	2.7%	3.6%	Lu, Jack	32%
002487.SZ	Dajin Heavy Industry	OW	Capital Goods	8.63	154	6	93.9%	77%	46%	21.2%	25.0%	19.1	13.1	0.4%	0.7%	Hou, Eva	75%
600885.SS	Hongfa Technology Co Ltd	OW	Capital Goods	4.68	88	7	10.4%	6%	39%	14.4%	16.9%	25.0	18.0	1.1%	1.2%	Zhong, Sheng	31%
002270.SZ	Huaming Power Equipment	OW	Capital Goods	2.70	54	2	88.5%	17%	23%	25.2%	28.2%	19.8	16.2	3.3%	4.0%	Li, Tom	20%
600522.SS	Jiangsu Zhongtian Technology Co. Ltd.	OW	Capital Goods	7.27	479	25	8.0%	121%	29%	16.2%	18.2%	26.2	20.2	1.2%	1.6%	Hou, Eva	19%
603606.SS	Ningbo Orient Wires & Cables Co Ltd	OW	Capital Goods	5.97	93		51.2%			18.2%	19.8%	NA	NA	NA	NA	Hou, Eva	14%
601567.SS	Ningbo Sanxing Medical Electric Co. Ltd.	OW	Capital Goods	2.06	80	3	159.3%	27%	31%	16.3%	19.2%	9.2	7.1	4.7%	6.0%	Li, Tom	20%
600031.SS	Sany Heavy Industry Co., Ltd.	OW	Capital Goods	2.69	230	25	53.7%	12%	39%	11.1%	14.5%	16.6	12.0	3.1%	4.2%	Zhong, Sheng	64%
002028.SZ	Sieyuan Electric Co.Ltd.	OW	Capital Goods	25.39	210	20	66.6%	42%	43%	25.6%	28.8%	30.1	21.0	0.4%	0.6%	Hou, Eva	29%
0669.HK	Techtronic Industries Co Ltd	OW	Capital Goods	14.73	67	27	17.0%	20%	11%	20.8%	21.3%	18.8	16.9	2.2%	2.7%	Cheng, Terence	97%
2338.HK	WeiChai Power	OW	Capital Goods	4.37	50	36	37.3%	22%	29%	13.8%	16.4%	19.3	15.0	3.0%	4.0%	Zhong, Sheng	53%
300450.SZ	Wuxi Lead Intelligent	OW	Capital Goods	6.17	536	10	108.3%	53%	79%	15.5%	21.7%	27.3	15.3	0.7%	1.1%	Zhong, Sheng	24%
603338.SS	Zhejiang Dingli Machinery Co Ltd.	OW	Capital Goods	7.16	49	4	38.1%	10%	27%	17.2%	19.2%	11.8	9.3	2.6%	3.3%	Zhong, Sheng	82%
688006.SS	Zhejiang Hangke Technology	OW	Capital Goods	4.82	55	3	53.2%	52%	45%	12.9%	16.3%	25.7	17.8	0.4%	0.6%	Zhong, Sheng	56%
603799.SS	Zhejiang Huayou Cobalt Co Ltd	OW	Capital Goods	7.02	602	13	57.8%	35%	29%	16.5%	18.2%	10.5	8.1	1.0%	1.4%	Jiang, Chris	64%
1157.HK	Zoomlion Heavy Industry	OW	Capital Goods	0.98	10	9	27.9%	6%	40%	8.7%	11.7%	11.3	8.1	6.4%	8.9%	Zhong, Sheng	60%
6655.HK	Huaxin Building Materials	OW	Materials	1.70	18	5	86.7%	30%	6%	11.3%	11.2%	6.4	6.1	6.2%	6.6%	Zhang, Rachel	35%
600219.SS	Shandong Nanshan Aluminium Co.	OW	Materials	0.68	191	8	59.4%	20%	11%	11.4%	12.6%	9.6	8.7	9.8%	10.9%	Zhang, Rachel	54%
600309.SS	Wanhua Chemical	OW	Materials	9.91	378	31	50.4%	44%	16%	15.7%	16.3%	11.7	10.1	2.7%	3.1%	Xu, Kaylee	47%
688008.SS	Montage Technology Co Ltd	OW	Semiconductors & Semiconductor Equipment	33.76	875	38	19.8%	61%	89%	20.0%	25.7%	73.2	38.7	0.0%	0.0%	Yen, Daniel	72%
300373.SZ	Yangjie Technology	OW	Semiconductors & Semiconductor Equipment	14.79	173	8	-9.2%	23%	36%	14.7%	17.5%	35.2	25.8	0.5%	0.6%	Dai, Daisy	25%
601138.SS	Foxconn Industrial Internet Co. Ltd.	OW	Technology Hardware & Equipment	10.26	1,553	193	19.1%	73%	31%	36.1%	45.9%	22.6	17.2	4.1%	5.4%	Shih, Sharon	44%
601231.SS	Universal Scientific Ind. (Shanghai)	OW	Technology Hardware & Equipment	5.19	158	12	29.1%	42%	48%	12.5%	16.7%	29.6	20.0	1.2%	1.8%	Dai, Daisy	46%

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of June 11, 2026. This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. (X) indicates stock has outperformed MSCI China Index since inclusion in the Focus List.

Morgan Stanley

Morgan Stanley China/HK Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US\$bn)	Date Added	Total US\$ Returns Since Added	12M Total Return Perf.	Last Price (US \$)	Upside to Target Price	MS P/E 2026E	MS P/E 2027E	MS P/B 2026E	MS ROE 2026E	MS Div. Yld 2026E	MS P/Sales 2026E	Analyst
Alibaba Group Holding	BABA.N	OW	China	Consumer Discretionary	285.6	24-Feb-25	-19.5%	-8.3%	112.7	68.6%	22.7x	24.0x	1.6x	7.2%	-	2.1x	Yu, Gary
Aluminum Corp. of China Ltd.	601600.SS	OW	China	Materials	25.1	2-Feb-26	-16.7%	63.0%	1.6	66.4%	7.3x	8.4x	2.0x	27.3%	5.1%	0.7x	Zhang, Rachel
China Petroleum & Chemical Corp.	0386.HK	OW	China	Energy	81.0	2-Mar-26	-24.3%	3.2%	0.5	68.7%	7.4x	5.4x	0.5x	6.8%	9.8%	0.2x	Lu, Jack
China Shenhua Energy	1088.HK	OW	China	Energy	134.6	25-Mar-26	-4.5%	45.2%	✓ 5.8	18.7%	13.1x	12.4x	1.7x	13.1%	5.8%	2.8x	Yang, Hannah
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	272.4	10-Mar-24	174.8%	64.9%	✓ 58.0	51.5%	19.1x	14.1x	4.7x	25.8%	2.6%	3.2x	Lu, Jack
Duality Biotherapeutics Inc	9606.HK	OW	China	Health Care	2.0	21-Aug-25	-46.1%	-25.6%	23.0	173.1%	51.7x	-38.0x	-6.8x	-13.2%	0.0%	10.4x	Lin, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	47.6	2-Mar-26	67.8%	332.1%	✓ 73.5	17.5%	38.8x	24.0x	12.2x	31.3%	0.8%	14.7x	Yen, Daniel
HK Exchanges & Clearing	0388.HK	OW	Hong Kong	Financials	60.7	24-Feb-25	12.1%	-8.3%	✓ 48.3	36.2%	26.2x	24.6x	7.8x	29.9%	3.4%	15.7x	Xu, Richard
HKT Trust and HKT Ltd.	6823.HK	OW	Hong Kong	Communication Services	0.0	24-Mar-21	62.1%	12.8%	✓ 1.5	16.9%	16.3x	15.7x	2.5x	15.4%	7.1%	0.0x	Tang, Tom
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	24.8	25-Mar-26	81.2%	290.9%	✓ 7.3	7.9%	26.2x	20.3x	4.0x	15.1%	1.2%	2.7x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	27.1	13-Jun-19	157.9%	11.6%	✓ 3.4	39.4%	19.7x	17.4x	3.2x	16.4%	2.7%	2.5x	Hou, Eva
Ping An Insurance Group Co of China Ltd	2318.HK	OW	China	Financials	29.3	2-Dec-25	1.8%	23.1%	✓ 7.4	59.1%	6.0x	5.4x	0.8x	14.3%	5.7%	0.8x	Xu, Richard
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	15.8	12-Jan-26	79.7%	310.7%	✓ 9.5	-13.1%	47.8x	35.3x	5.0x	10.5%	0.5%	3.0x	Hou, Eva
Zijin Mining Group	2899.HK	OW	China	Materials	105.3	14-Nov-22	212.8%	56.4%	✓ 3.9	81.7%	8.7x	8.5x	2.8x	31.7%	2.9%	1.4x	Zhang, Rachel

Total Return	Since Inception		12 Months		1 Month	
	Absolute	Relative	Absolute	Relative	Absolute	Relative
China Focus List (US\$)	116.7%	73.4%	22.6%	21.5%	-2.4%	4.4%

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of June 11, 2026. This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. (X) indicates stock has outperformed MSCI China Index since inclusion in the Focus List.

Morgan Stanley

Morgan Stanley China A-share thematic stock list

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US\$bn)	Date Added	Total US\$	12M Total	Last Price (US \$)	Upside to Target Price	MS P/E		MS P/B	MS ROE	MS Div.	MS	Analyst
							Returns	Return			2026E	2027E	2026E	2026E	Yld	P/Sales	
Aluminum Corp. of China Ltd.	601600.SS	OW	China	Materials	24.6	2-Feb-26	-16.7%	63.0%	1.6	73.3%	7.3x	8.5x	2.0x	27.3%	5.0%	0.6x	Zhang, Rachel
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	276.5	10-Mar-24	174.8%	64.9% ✓	57.6	53.2%	19.0x	14.0x	4.6x	25.8%	2.6%	3.2x	Lu, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	47.4	2-Mar-26	67.8%	332.1% ✓	73.0	21.7%	38.6x	23.9x	12.1x	31.3%	0.8%	14.6x	Yen, Daniel
Hongfa Technology Co Ltd	600885.SS	OW	China	Industrials	6.9	16-Apr-24	84.5%	49.4% ✓	4.9	10.0%	26.0x	18.7x	3.5x	13.3%	1.1%	2.4x	Zhong, Sheng
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	25.3	25-Mar-26	81.2%	290.9% ✓	7.3	6.0%	26.2x	20.2x	4.0x	15.1%	1.2%	2.7x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	26.9	13-Jun-19	157.9%	11.6% ✓	3.4	42.2%	19.7x	17.3x	3.2x	16.4%	2.7%	2.5x	Hou, Eva
Ping An Insurance Group Co of China Ltd	601318.SS	OW	China	Financials	138.1	12-Jan-26	-17.2%	10.7%	7.9	57.8%	6.4x	5.8x	0.9x	0.1x	5.3%	0.8x	Xu, Richard
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	15.6	17-Nov-25	106.0%	310.7% ✓	9.5	-10.8%	47.9x	35.3x	5.0x	10.5%	0.5%	2.9x	Hou, Eva
Zijin Mining Group	601899.SS	OW	China	Materials	106.9	28-Nov-22	222.2%	58.7% ✓	4.2	87.7%	9.4x	9.3x	3.0x	31.7%	2.7%	1.5x	Zhang, Rachel

Total Return	Since Inception		12 Months		1 Month	
	Absolute	Relative	Absolute	Relative	Absolute	Relative
China A-Share Thematic Focus List (US\$)	227.0%	153.9%	53.9%	25.6%	2.3%	6.8%

Source: MSCI, RIMES, Morgan Stanley Research. Note: OW = Overweight. Data as June 11, 2026. This assumes the group of selected stocks constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute returns (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. Tick-mark indicates stock has outperformed Shanghai Composite Index since inclusion in the Focus List.

Morgan Stanley

Appendix – Morgan Stanley cross-asset allocation and key forecasts

Index	Current Price	Jun 2027 Base Case Index Target (% Upside)	Prior Target Dec 2026 (% Upside)	MS Top-Down EPS YoY %			Consensus EPS Forecast YoY %			MS Base Case N12M P/E Jun 2027	Current Consensus N12M P/E	10 Year Avg. Consensus N12M P/E
				2026	2027	2028	2026	2027	2028			
S&P 500	7,399	8,300 12%	7,800 5%	339 23%	380 12%	429 13%	333 21%	383 15%	427 12%	20.5	21.2	18.8
MSCI Europe	2,426	2,700 11%	2,430 0%	154 11%	163 6%	174 7%	159 15%	177 11%	194 10%	16.0	14.7	14.3
TOPIX	3,829	4,300 12%	4,250 11%	210 12%	225 7%	246 9%	210 12%	237 13%	263 11%	17.5	16.5	14.2
MSCI EM	1,648	1,800 9%	1,700 3%	125 40%	136 9%	141 4%	130 51%	154 19%	174 13%	13.0	12.0	12.3

Source: Markit Box, MSCI, RIMES, DataStream, IBES, Bloomberg, Morgan Stanley Research forecasts.

Morgan Stanley

Appendix – Morgan Stanley cross-asset allocation and key forecasts

Asset	Allocation	OW/UW	vs Bnch	vs Last
EQUITIES		+5%		+5%
US		+3%		+1%
Europe		+1%		+1%
Japan		+1%		+1%
EM		+0%		+2%
CORE FIXED INC.		-3%		+0%
Govt Bonds		+3%		-1%
USTs		+2%		-2%
EGBs		+1%		+1%
Agency MBS		+0%		+0%
IG Corporate		-6%		+1%
US IG Corp		-5%		+0%
EUR IG Corp		-1%		+1%
OTHER FIXED INC.		-2%		+3%
US HY Corp		-1%		+1%
EM \$ Sov		-2%		+0%
EM Local		+0%		+2%
US Lev Loans		-1%		+0%
CLO AAA		+2%		+0%
COMMODITIES		+0%		+0%
Brent		+0%		+0%
Gold		+0%		+0%
Copper		+0%		+0%
CASH		+0%		-8%

Source: Markit Box, MSCI, RIMES, DataStream, IBES, Bloomberg, Morgan Stanley Research forecasts.

Appendix – Morgan Stanley global real GDP growth forecasts

Real GDP (%Y)	Quarterly																Annual			
	2024				2025				2026				2027				2024	2025	2026E	2027E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Global (%Y)	3.3	3.3	3.3	3.7	3.5	3.5	3.6	3.4	3.5	3.1	3.2	3.2	3.4	3.6	3.4	3.4	3.4	3.5	3.2	3.4
Global ex US (%Y)	3.4	3.4	3.5	3.9	3.9	3.8	3.8	3.7	3.8	3.3	3.5	3.4	3.6	3.8	3.6	3.6	3.5	3.8	3.5	3.6
G10 (%Y)	1.4	1.6	1.9	1.9	1.8	1.9	1.8	1.5	1.5	1.4	1.1	1.3	1.6	1.6	1.8	1.9	1.7	1.7	1.3	1.7
US	2.9	3.1	2.8	2.4	2.0	2.1	2.3	2.0	2.6	2.2	1.7	2.2	2.4	2.4	2.5	2.6	2.8	2.1	2.2	2.6
Euro Area	0.6	0.7	1.1	1.4	1.7	1.6	1.4	1.2	0.3	0.6	0.5	0.5	1.0	0.9	1.1	1.2	0.9	1.5	0.5	1.0
Japan	-1.1	-1.1	0.9	0.6	1.5	2.0	0.5	0.2	0.6	0.1	0.6	0.5	0.4	1.0	1.2	1.2	-0.2	1.1	0.4	1.0
UK	0.2	0.8	1.3	2.0	1.8	1.4	1.3	1.0	1.1	1.0	0.9	0.6	0.5	0.8	1.3	1.9	1.1	1.4	0.9	1.1
Global (%Q, SAAR) ^	3.6	3.6	3.6	3.7	3.1	3.8	3.7	3.2	3.0	2.1	4.3	3.7	3.2	3.1	3.5	3.4	3.7	3.4	3.2	3.4
G10 (%Q, SAAR) ^	1.1	2.1	2.5	1.8	1.1	2.1	2.2	0.6	0.9	1.6	1.4	1.5	1.7	2.0	1.9	1.9	1.9	1.5	1.3	1.9
US	0.8	3.6	3.3	1.9	-0.6	3.8	4.4	0.5	1.6	2.3	2.3	2.5	2.4	2.6	2.6	2.6	2.4	2.0	2.2	2.6
Euro Area	1.3	0.9	1.8	1.5	2.7	0.5	1.1	0.7	-0.9	1.6	0.6	0.8	1.0	1.2	1.3	1.3	1.4	1.2	0.5	1.2
Japan	-1.4	0.1	2.7	1.5	1.8	1.4	-2.5	0.8	2.1	-0.7	0.2	0.7	1.2	2.2	0.7	1.0	0.6	0.2	0.5	1.2
UK	3.1	2.5	0.9	1.4	2.6	0.8	0.3	0.2	2.5	0.2	0.0	-0.4	2.2	1.6	1.9	1.9	2.0	1.0	0.6	1.9
EM (%Y)	4.8	4.7	4.5	5.0	4.8	4.7	4.9	4.9	5.1	4.3	4.7	4.5	4.7	5.0	4.5	4.5	4.7	4.9	4.6	4.6
EM ex China (%Y)	4.4	4.7	4.4	4.7	4.3	4.4	5.0	5.2	5.1	4.1	4.5	4.2	4.7	5.0	4.4	4.4	4.5	4.7	4.5	4.6
AXJ (%Y)	5.6	5.3	4.9	5.5	5.4	5.4	5.5	5.4	5.8	5.1	5.2	5.0	5.2	5.3	5.1	4.9	5.3	5.5	5.3	5.1
China	5.3	4.7	4.6	5.4	5.4	5.2	4.8	4.5	5.0	4.7	4.8	4.9	4.7	4.8	4.8	4.6	5.0	5.0	4.8	4.7
India	7.5	7.5	6.6	7.4	7.0	6.8	8.3	8.0	7.8	6.5	6.7	6.8	7.0	7.0	7.2	7.0	7.2	7.5	7.0	7.0
Hong Kong	2.9	3.0	2.1	2.5	3.2	3.3	3.8	4.0	5.9	5.0	4.4	3.8	3.3	4.6	5.1	5.0	2.6	3.6	4.8	4.5
Korea	3.3	2.3	1.5	1.2	-0.1	1.0	1.7	1.6	3.6	3.1	2.8	1.5	2.2	3.7	1.6	1.5	2.1	1.1	2.8	2.2
Taiwan	7.2	5.3	4.7	4.1	5.5	7.7	8.2	12.7	13.7	10.1	9.0	2.8	6.4	6.1	3.7	2.4	5.3	8.6	8.9	4.7

Source: Haver Analytics, IMF, Morgan Stanley Research forecasts. Note: Global and regional aggregates are GDP-weighted averages.

Appendix – Morgan Stanley CPI forecasts

Headline CPI Inflation (%Y)	Quarterly																Annual			
	2024				2025				2026				2027				2024	2025	2026E	2027E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Global	2.5	2.5	2.3	2.3	2.1	1.9	1.8	1.9	2.2	2.8	2.9	3.0	2.8	2.2	2.0	1.9	2.4	1.9	2.7	2.2
G10	3.0	2.9	2.5	2.5	2.6	2.4	2.7	2.6	2.4	3.4	3.4	3.4	3.2	2.1	1.9	1.8	2.7	2.6	3.2	2.3
US	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.7	4.0	3.7	3.4	3.2	1.9	1.9	2.1	3.0	2.7	3.5	2.4
Euro Area	2.6	2.5	2.2	2.2	2.3	2.0	2.1	2.1	2.0	3.2	3.3	3.4	3.2	2.3	1.9	1.7	2.4	2.1	3.0	2.3
Japan^	2.5	2.7	2.8	2.9	3.8	3.4	2.9	2.7	1.4	1.8	2.3	3.5	4.0	2.2	1.8	0.2	2.7	3.2	2.3	2.0
UK	3.5	2.1	2.0	2.5	2.8	3.5	3.8	3.4	3.1	2.9	3.3	3.4	3.2	2.8	2.3	2.1	2.5	3.4	3.2	2.6
Canada	2.9	2.8	2.1	1.9	2.3	1.8	2.0	2.2	2.3	2.9	2.7	2.4	2.0	1.8	1.8	2.0	2.4	2.1	2.6	1.9
Norway	4.4	3.1	2.8	2.4	2.8	2.9	3.4	3.1	3.3	3.4	3.4	3.4	2.6	2.5	2.4	2.1	3.2	3.0	3.3	2.5
Sweden	4.7	3.4	2.0	1.3	0.9	0.4	0.9	0.5	0.5	1.0	2.0	2.2	1.9	2.0	1.4	1.6	2.8	0.7	1.4	1.7
Australia	3.6	3.8	2.9	2.4	2.4	2.1	3.2	3.7	4.1	5.0	4.6	4.2	3.4	2.5	2.3	2.6	3.2	2.9	4.5	2.7
EM	2.1	2.2	2.2	2.2	1.7	1.5	1.2	1.4	2.0	2.4	2.5	2.7	2.6	2.2	2.0	2.0	2.1	1.5	2.4	2.2
AXJ	1.7	1.8	1.7	1.8	1.1	0.9	0.6	0.9	1.7	2.1	2.1	2.4	2.3	2.0	1.8	1.7	1.7	0.9	2.1	1.9
China	0.0	0.3	0.5	0.2	-0.1	0.0	-0.2	0.6	0.8	0.8	0.7	0.7	0.5	0.6	0.6	0.7	0.2	0.1	0.8	0.6
India	5.0	4.9	4.2	5.6	3.7	2.7	1.7	0.8	3.1	4.0	4.6	5.8	5.6	5.1	4.1	3.6	4.9	2.2	4.4	4.6
Hong Kong	1.9	1.2	2.4	1.4	1.6	1.8	1.1	1.3	1.6	2.1	2.2	2.1	1.7	1.8	1.9	1.8	1.7	1.4	2.0	1.8
Korea	3.0	2.7	2.2	1.4	2.1	2.1	1.9	1.9	2.1	2.9	2.6	2.5	2.4	1.9	2.1	2.3	2.3	2.0	2.5	2.2
Taiwan	2.3	2.2	2.5	2.3	2.2	1.9	1.7	1.6	1.2	2.3	2.1	1.8	2.1	2.2	1.9	2.1	2.3	1.9	1.8	2.1
Singapore	3.2	2.8	2.2	1.4	1.0	0.8	0.6	1.2	1.5	2.7	2.5	2.3	2.1	1.9	1.9	1.9	2.4	0.9	2.3	1.9
Indonesia	2.8	2.8	2.0	1.6	0.6	1.8	2.4	2.8	3.9	2.6	2.6	2.7	2.6	2.4	2.4	2.4	2.3	1.9	3.0	2.4
Malaysia	1.7	1.9	1.9	1.8	1.5	1.3	1.3	1.4	1.6	2.0	2.4	2.5	2.5	2.1	2.1	2.0	1.8	1.4	2.1	2.2
Thailand	-0.8	0.8	0.6	1.0	1.1	-0.3	-0.7	-0.5	-0.5	2.9	3.2	3.2	3.1	1.4	1.2	1.2	0.4	0.0	2.2	1.7
Philippines	3.3	3.8	3.2	2.6	2.2	1.4	1.4	1.7	2.8	7.7	7.4	7.3	6.7	2.1	3.1	3.9	3.2	1.7	6.3	3.9
Core Inflation (%Y)																				
Global (G4+Selected EM)	2.5	2.2	2.2	2.2	2.3	2.4	2.5	2.6	2.5	2.5	2.5	2.6	2.4	2.3	2.2	2.1	2.3	2.4	2.5	2.3
G4	3.2	2.8	2.8	2.8	2.8	2.7	2.8	2.7	2.8	2.8	2.7	2.7	2.6	2.4	2.4	2.3	2.9	2.7	2.7	2.4
US (core PCE)	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	3.1	3.3	3.1	2.9	2.6	2.3	2.2	2.3	2.9	2.8	3.1	2.4
Euro Area	3.1	2.8	2.8	2.7	2.6	2.4	2.3	2.4	2.3	2.4	2.5	2.5	2.7	2.5	2.4	2.3	2.8	2.4	2.4	2.5
Japan^	3.2	2.2	2.0	2.4	2.7	3.2	3.2	3.0	2.5	1.7	1.9	2.5	2.6	3.0	2.6	1.9	2.5	3.0	2.2	2.5
UK	4.6	3.6	3.3	3.3	3.6	3.7	3.6	3.3	3.2	2.5	2.6	2.6	2.5	2.5	2.4	2.2	3.7	3.5	2.7	2.4
Selected EM	1.9	1.7	1.5	1.6	1.8	2.1	2.3	2.5	2.3	2.3	2.3	2.5	2.3	2.2	2.1	2.0	1.7	2.2	2.4	2.1
China	0.7	0.6	0.3	0.3	0.3	0.6	0.9	1.2	1.2	1.2	1.1	0.9	0.8	0.8	0.9	0.9	0.5	0.8	1.1	0.8
India	3.4	3.2	3.5	3.7	4.0	4.4	4.3	4.6	3.7	3.8	4.3	5.2	4.6	4.5	4.1	3.7	3.4	4.3	4.2	4.2
Brazil	3.6	3.1	3.5	3.8	4.7	5.2	5.0	4.7	4.5	4.4	4.4	4.6	4.3	3.7	3.4	3.4	3.5	4.9	4.4	3.7
Mexico	4.7	4.2	4.0	3.7	3.7	4.1	4.3	4.4	4.5	4.4	4.4	4.6	4.4	4.3	4.2	4.1	4.1	4.1	4.5	4.2

Source: Haver Analytics, national central banks, Morgan Stanley Research forecasts. ^7-day reverse repo rate.

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Appendix – Morgan Stanley policy rate forecasts

Policy Rates	Current	2024				2025				2026				2027			
		1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE
US	3.625	5.375	5.375	4.875	4.375	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.375	3.125	3.125	3.125
Euro Area*	2.00	4.00	3.75	3.50	3.00	2.50	2.00	2.00	2.00	2.00	2.25	2.50	2.50	2.50	2.25	2.00	2.00
Japan**	0.50	0.10	0.10	0.25	0.25	0.50	0.50	0.50	0.75	0.75	1.00	1.00	1.00	1.00	1.25	1.25	1.25
UK	3.75	5.25	5.00	4.75	4.75	4.50	4.25	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50
China^	1.40	1.80	1.80	1.50	1.50	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
India	5.25	6.50	6.50	6.50	6.50	6.25	5.50	5.50	5.25	5.25	5.25	5.25	5.25	5.25	5.50	5.75	5.75
Hong Kong	4.00	5.75	5.75	5.25	4.75	4.75	4.75	4.50	4.00	4.00	4.00	4.00	4.00	3.75	3.50	3.50	3.50
S. Korea	2.50	3.50	3.50	3.50	3.00	3.00	2.75	2.50	2.50	2.50	2.50	2.75	3.00	3.25	3.50	3.50	3.50
Taiwan	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.13	2.13	2.25	2.25

Source: Haver Analytics, national central banks, Morgan Stanley Research forecasts. *ECB Deposit Facility rate; **Uncollateralized Overnight Call Rate Upper Limit; ^7-day reverse repo rate.

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Appendix – Morgan Stanley global currency forecasts

	2026			2027			
	2Q	3Q	4Q	1Q	2Q	3Q	4Q
EUR/USD	1.19	1.23	1.20	1.18	1.16	1.15	1.14
USD/JPY	160	160	157	159	156	153.84	151.69
GBP/USD	1.36	1.39	1.38	1.36	1.34	1.32	1.30
USD/CHF	0.76	0.73	0.74	0.74	0.75	0.77	0.78
USD/SEK	8.99	8.62	8.67	8.73	8.79	8.87	8.95
USD/NOK	9.08	8.70	8.83	8.90	9.05	9.27	9.48
USD/CAD	1.36	1.35	1.35	1.36	1.36	1.36	1.36
AUD/USD	0.72	0.74	0.75	0.74	0.73	0.72	0.71
NZD/USD	0.59	0.61	0.62	0.61	0.60	0.61	0.61
EUR/JPY	190	197	188	188	181	177	173
EUR/GBP	0.88	0.88	0.87	0.87	0.87	0.87	0.88
EUR/CHF	0.91	0.90	0.89	0.87	0.87	0.88	0.89
EUR/SEK	10.70	10.60	10.40	10.30	10.20	10.21	10.21
EUR/NOK	10.80	10.70	10.60	10.50	10.50	10.54	10.59
USD/CNY	6.78	6.72	6.75	6.77	6.80	6.77	6.75
USD/HKD	7.81	7.79	7.77	7.81	7.80	7.79	7.78
USD/IDR	17300	17150	17100	17200	17400	17111	16826
USD/INR	94.0	93.0	93.5	94.2	95.0	93.8	92.7
USD/KRW	1450	1430	1420	1430	1440	1418	1397
USD/MYR	3.89	3.83	3.80	3.83	3.86	3.86	3.87
USD/PHP	60.3	59.8	59.6	60.0	60.5	60.0	59.4
USD/SGD	1.260	1.240	1.230	1.240	1.250	1.266	1.282
USD/TWD	31.2	30.7	30.5	30.8	31.0	30.7	30.4
USD/THB	31.9	31.4	31.2	31.6	31.9	31.8	31.8
USD/BRL	4.80	5.10	5.00	4.95	4.90	4.85	4.80
USD/MXN	17.50	17.25	17.15	17.10	17.20	17.30	17.40
USD/ARS	1402	1503	1579	1675	1726	1874	1874
USD/CLP	890	880	870	860	850	840	840
USD/COP	3750	3800	3825	3850	3875	3900	3925
USD/PEN	3.55	3.58	3.60	3.58	3.56	3.54	3.56
USD/ZAR	16.3	16.1	15.7	16.0	16.3	16.3	16.4
USD/TRY	46.3	48.4	50.6	53.0	55.4	58.0	60.5
USD/EGP	51.0	50.0	49.0	50.0	51.0	51.5	52.0
EUR/PLN	4.28	4.33	4.35	4.32	4.30	4.33	4.36
EUR/CZK	24.4	24.4	24.5	24.4	24.3	25.1	26.0
EUR/HUF	358	353	345	350	355	366	378
DXI Index	97	95	96	98	99	99	99
Fed's Broad USD	118	116	116	117	118	118	118

Source: Morgan Stanley Research forecasts.

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STOCK RATING CATEGORY	COVERAGE UNIVERSE		INVESTMENT BANKING CLIENTS (IBC)			OTHER MATERIAL INVESTMENT SERVICES CLIENTS (MISC)	
	COUNT	% OF TOTAL	COUNT	% OF TOTAL IBC	% OF RATING CATEGORY	COUNT	% OF TOTAL OTHER MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
TOTAL	3,673		909			1627	

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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